YANGON UNIVERSITY OF ECONOMICS

DEPARTMENT OF MANAGEMENT STUDIES

MSESI PROGRAMME

INFLUENCING FACTORS ON ACCESS TO FINANCE AND SUSTAINABLE GROWTH OF SMALL AND MEDIUM ENTERPRISES IN SHWE BANK

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MSESI II - 3

MSESI 2nd BATCH

OCTOBER, 2025

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Yangon University of Economics	2023-2025

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This thesis is submitted to the Board of Examiners in partial fulfillment of the requirements for the degree of Master of Sustainable Entrepreneurship and Social Innovation (MSESI).

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ACCEPTANCE

This is to certify that the thesis entitled "**Influencing Factors on Access to Finance and Sustainable Growth of Small and Medium Enterprises in Shwe Bank**" has been accepted by the Examination Board for awarding Master of Sustainable Entrepreneurship and Social Innovation (MSESI) degree.

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OCTOBER, 2025

ABSTRACT

The objectives of this study are to analyze the influencing factors on access to finance, to analyze the effect of access to finance on sustainable growth and to analyze the moderating effect of government policies on the relationship between access to finance and the sustainable growth of small and medium enterprises (SMEs) at SHWE Bank. A sample of 81 owners or managers of SMEs are determined from the population of 101 borrowing customers at SHWE Bank. The simple random sampling method is used to select the respondents to collect the primary data. Primary data is collected using structured questionnaires with five-point Likert scales. Secondary data is collected from previous studies, textbooks, and SHWE Bank documents. This research employs both descriptive statistics and linear regression analysis. The regression analysis demonstrates that collateral requirement and financial performance have positive and significant effect on access to finance. Interest rates and credit profile are not significant with sustainable growth of SMEs. The research indicates that access to finance has positive and significant effect on sustainable growth. However, there is no moderating effect of government policies on the relationship between access to finance and sustainable growth. The findings suggested that SMEs should try to improve their ability to secure and effectively utilize financial resources by linking internal financial strength to long-term business success.

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LIST OF ABBREVIATIONS

BOD	Board of Directors
CBO	Chief Business Officer
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CGI	Credit Guarantee Insurance
CIO	Chief Information Officer
COO	Chief Operating Officer
CRO	Chief Resource Officer
DCEO	Deputy Chief Executive Officer
ESG	Environmental, Social and Governance
Fintech	Financial Technology
GDP	Gross Domestic Product
HR	Human Resources
IT	Information Technology
MD	Managing Director
MMK	Myanmar Kyat
MSME	Micro, Small and Medium Enterprises
OECD	Organization for Economic Co-operation and Development
p.a.	Per Annum
POS	Point of Sale
ROA	Return on Assets
ROE	Return on Equity
SHWE Bank	Shwe Rural and Urban Development Bank Limited
SMEs	Small and Medium Enterprises
VC	Vice Chairman

CHAPTER 1

INTRODUCTION

Small and medium enterprises (SMEs) are important for economic development in every country. SMEs create jobs opportunities and stimulate innovation in both advanced and emerging economies (OECD, 2017). However, SMEs often encounter significant difficulties to get financial access. Access to finance is vital for SMEs survival and growth. In Myanmar, the developing financial sector poses a significant barrier to SMEs expansion and sustainability. There are several key factors that influence access to finance for these businesses. Interest rates affect borrowing behavior, with higher rates deterring loan applications process and lower rates encouraging investment. A solid credit profile shows lender confidence and improves the chances of securing favorable loan. Strong financial performance proves a firm’s ability to manage resources effectively and repay debts, enhancing its attractiveness to the financial institutions. On the other hand, collateral requirements can restrict access to finance conditions, especially for SMEs with limited assets, often pushing them toward informal and costly alternative ways.

Interest rate refers to the cost of borrowing money or the return on lending, expressed as a percentage of the principal on a specific period, usually on an annual basis (Berger & Udell, 2006). High interest rates can increase financing costs, reduce investment capacity and may discourage SMEs from exploring formal loans, while low interest rates can stimulate borrowing and business expansion (Bernanke & Gertler, 1995). As an SME perspective, high interest rates appoint the cost of financing, reducing firms’ incentives to borrow for expansion or operational investment (Beck et al., 2008; Galindo & Schiantarelli, 2003). The sensitivity of small and medium enterprises to interest rate fluctuations is a principal barrier to getting formal loan access and sustainable growth of these businesses (Wanjau, 2017; Njagi, 2023).

Credit profile refers to the core metric used by lenders to evaluate the creditworthiness of borrowers, particularly SMEs, where perceived risk is often higher due to limited collateral and volatile revenue streams (Altman et al., 2010). A strong credit profile indicates reliability, reducing the perceived risk of default rates, increases the likelihood of obtaining financing, including lower interest rates, larger loan volumes and extended repayment periods (Beck et al., 2008). SMEs with well-documented and positive credit histories shows significantly higher access to finance and improved growth prospects compared to their rivals with poor credit standing (Berger & Udell, 2006; Osoro & Muturi, 2016).

Financial performance refers to the degree of a business that achieves its financial objectives, assessed through quantitative measures such as profitability, liquidity, solvency and operational efficiency (Richard et al., 2009). It reflects a firm's performance to generate revenue streams, control costs and create value for its owners on a specific period. Key indicators include ratios such as return on assets (ROA), return on equity (ROE), net profit margin, current ratio and asset turnover, which provide insight into both short-term stability and long-term viability (Brigham & Ehrhardt, 2014). As an SME perspective, strong financial performance indicates operational capability and repayment capacity, thereby increasing the likelihood of obtaining external access to finance on specific terms (Demirgüç et al., 2006).

Collateral requirement refers to the requirement for borrower to pledge assets as security for a financing, which the lender can liquidate in the event of default (Besley & Brigham, 2013). It serves as a risk mitigation method for financial institutions by reducing potential credit losses and aligning the borrower's incentives with repayment of loan (Berger & Udell, 1995). Collateral includes tangible assets such as real estate, equipment, vehicles and inventory, as well as intangible assets like receivables or financial securities (World Bank, 2010). High collateral demands can lead to credit rationing, pushing otherwise viable SMEs toward informal and higher-cost of finance access (Stiglitz & Weiss, 1981; Beck et al., 2008).

Access to finance refers to the ability of individuals, businesses, or organizations to obtain financial resources from formal and informal sources to meet their consumption, investment, or operational needs (World Bank, 2008). It encompasses not only the availability of financial products and services such as credit, savings, insurance and payment systems but also their affordability, timeliness and suitability to the borrower's specific requirements (Demirgüç et al., 2008). Access to finance is widely recognized as a key driver of economic growth and poverty alleviation because it enables households to smooth consumption, invest in education and manage risks, while allowing businesses to expand production, adopt new technologies and increase productivity (Beck & Demirgüç-Kunt, 2006).

Government policies refer to the deliberate actions, strategies and regulatory measures implemented by a government to guide, influence and regulate the functioning of the economy, social systems and public administration in alignment with national objectives (Anderson, 2014). For small and medium enterprises, government policies related to taxation, credit access, export promotion and infrastructure provision are particularly influential, as they can either lower operational barriers or exacerbate existing financial and logistical challenges (Beck & Demirgüç-Kunt, 2006). In countries with transparent and consistent policy frameworks, businesses are more likely to invest in long-term projects, enhance productivity and participate in international trade (Rodrik et al., 2004).

Sustainable growth refers to the maximum rate at which a firm can grow its sales, earnings and dividends without having to increase financial leverage or seek additional equity financing, thus maintaining an optimal balance between profitability, asset utilization and financial policy (Higgins, 1977). Sustainable growth is the ability of an organization, sector, or economy to expand its operations, revenues and outputs at a consistent and manageable rate over time without creating financial strain or depleting the resources necessary for future development. The sustainable growth is influenced by access to finance, managerial capabilities, innovation capacity and adaptability to changing market and regulatory conditions (Beck & Demirgüç-Kunt, 2006).

Shwe Rural and Urban Development Bank Limited, commonly known as SHWE Bank, is one of the private banks operating in the Republic of the Union of Myanmar. It was incorporated as a limited company in accordance with the Financial Institutions Law of Myanmar and the Central Bank of Myanmar granted its banking license on 28 July 2014. Since its inception, the bank has positioned itself as a key player in supporting the country's economic growth, particularly through its commitment to serving the financing needs of Small and Medium Enterprises. Headquartered in Yangon, SHWE Bank operates through a growing network of 10 branches and 16 agent hubs strategically located across various regions, enabling it to reach diverse customer segments, including underserved rural communities.

1.1 Rationale of the Study

Small and medium enterprises are widely recognized as the backbone of economic growth, job creation and innovation in both developed and developing economies. In Myanmar, SMEs contribute significantly to GDP and employment but face persistent challenges in sustaining their growth due to structural, financial and institutional constraints. One of the key issues is the interplay between financial access, regulatory frameworks and internal performance capabilities, all of which collectively determine the ability of SMEs to achieve sustainable growth. This study focuses on seven critical variables sustainable growth, government policies, access to finance, collateral requirements, financial performance, credit profile and interest rates to investigate their combined influence on SME development, particularly within the banking sector.

Sustainable growth is the central to the survival and long-term competitiveness of SMEs. It reflects the ability of businesses to expand operations, revenue and profitability at a manageable rate without overextending financial resources or compromising future viability. For SMEs in Myanmar, sustainable growth is often hampered by limited capital access, skill shortages and infrastructural gaps. Given the increasingly competitive and globalized market environment, understanding the determinants of sustainable growth enables policymakers, financial institutions and business owners to implement strategies that balance expansion with resilience. Sustainable growth is the outcome of effective financial and operational management and a driver of broader economic development.

Government policies play a pivotal role in shaping the business environment by establishing the legal, fiscal and regulatory frameworks within which SMEs operate. Policies relating to taxation, credit access, trade regulations and sector-specific incentives can either facilitate or hinder SME growth. In Myanmar, government interventions such as SME development laws, credit guarantee schemes and fiscal incentives aim to promote entrepreneurship and enhance financial inclusion. However, inconsistent policy implementation, bureaucratic delays and limited institutional capacity can weaken their impact. By including government policies as a moderating variable in this study, the analysis will capture the extent to which supportive or restrictive policies influence the relationship between access to finance and sustainable SME growth.

Access to finance is one of the most significant constraints facing SMEs. In Myanmar, access to formal finance is limited by underdeveloped financial markets, high transaction costs, information asymmetries and collateral requirements that many SMEs cannot meet. As a result, many SMEs rely on informal lenders, which often charge higher interest rates and offer less favorable terms, thus constraining growth potential. Expanding access to finance through innovative products, digital financial services and supportive lending frameworks is therefore a strategic priority for both policymakers and financial institutions. This study incorporates access to finance as a key independent variable to analyze its direct effect on SME sustainable growth and its interaction with other financial and institutional factors.

Interest rates are the cost of borrowing and a fundamental factor in determining the affordability of credit. This nominal rate serves several key functions: it compensates lenders for the opportunity cost and risk of loaning funds, adjusts for expected inflation and reflects time preference. In Myanmar, lending interest rates are influenced by macroeconomic conditions, monetary policy and risk assessments by banks. SMEs with limited collateral or weak credit profiles often face higher interest rates due to their perceived riskiness.

Credit profile is a documented history of a borrower's repayment behavior, outstanding debts and overall creditworthiness, as recorded in credit reports and ratings. A strong credit profile enhances SME credibility with lenders, reduces perceived risk and can lead to more favorable loan terms. In Myanmar, where formal credit reporting systems are still evolving, limited or non-existent credit histories pose a significant barrier for many SMEs, especially newer businesses and those in rural areas. Strengthening credit information infrastructure and promoting borrower participation in formal credit systems can therefore improve lending outcomes and encourage responsible financial behavior.

Financial performance indicates both an indicator and determination of a firm's ability to secure financing and sustain growth. It encompasses measures such as profitability, liquidity, solvency and operational efficiency, which signal the firm's capacity to generate returns and manage risks effectively. Lenders often rely on financial performance indicators to assess creditworthiness, while strong performance enhances a firm's ability to reinvest profits and reduce dependency on external financing. For SMEs in emerging markets like Myanmar, financial performance can be influenced by market volatility, resource limitations and managerial capacity.

Collateral requirement is a critical barrier to SME financing, as lenders often demand substantial asset pledges to secure loans. Common forms of collateral include real estate, machinery, vehicles and inventory, which many SMEs particularly startups and rural enterprises, lack in sufficient value or documented ownership. In Myanmar, challenges such as weak property rights enforcement and limited asset valuation mechanisms exacerbate the difficulty of meeting collateral requirements. Excessive collateral demands can lead to credit rationing, forcing viable SMEs to forego growth opportunities or turn to costly informal credit sources. On the other hand, flexible collateral policies, combined with credit guarantee schemes, have been shown to improve loan accessibility and stimulate investment. This study examines collateral requirements as both a direct determinant of access to finance and an indirect constraint on sustainable growth.

The rationale for this study is grounded in the recognition that sustainable SME growth in Myanmar is shaped by a complex interaction of financial, institutional and policy-related factors. By examining the roles of government policies, access to finance, collateral requirements, financial performance, credit profile and interest rates, this research aims to provide a comprehensive understanding of the conditions necessary to enhance SME growth through effective financial and policy interventions. The findings are expected to inform policymakers, financial institutions and SME owners on strategies that can improve access to finance, optimize lending frameworks and promote sustainable business development in Myanmar's evolving economic landscape. SHWE Bank has developed a lending policy that prioritizes access to finance for micro, small and medium enterprises in Myanmar. The Shwe Loan Lay, SMEs financing product, offers collateral-free financing ranging from MMK 10 million to 50 million with 1 year to 2 years tenure and interest rates between 14.5% p.a. and 15% p.a. on a reduced balance basis. Eligibility criteria requires businesses to have operated for at least one year, employ fewer than 25 staff, or generate annual revenues not exceeding MMK 100 million, with two guarantors in place of collateral. SHWE Bank's SME lending policy emphasizes financial accessibility, structured risk management and sustainable enterprise growth, positioning the institution as a key facilitator of entrepreneurial development and economic resilience in Myanmar.

1.2 Objectives of the Study

The objectives of the study are as follows:

1. To examine the influencing factors on access to finance of small and medium enterprises in SHWE Bank,
2. To analyze the effect of access to finance on sustainable growth of small and medium enterprises in SHWE Bank and
3. To analyze the moderating effect of government policies on the relationship between access to finance and sustainable growth of small and medium enterprises in SHWE Bank.

1.3 Scope and Method of the Study

This study mainly focuses on the effect of access to finance on sustainable growth of SMEs in SHWE Bank. This study uses both primary and secondary data. There are 101 SMEs who borrowed loans at SHWE Bank in 2025. Rao soft sample size calculator is applied to calculate the sample size. Among 101 SMEs, 81 SMEs are used as a sample size. Simple random sampling method is used to select the sample respondents. The primary data is collected from the owners or managers of SMEs using structured questionnaires with 5-point Likert scale. An owner or manager of 81 SMEs is requested to answer the question with google form. The secondary data is collected from documents and websites such as textbooks, previous international research papers, periodical journals, relevant documents from SHWE Bank. For data analysis, both descriptive statistics and linear regression analysis are used to analyze the collected data.

1.4 Organization of the Study

This study is organized into five chapters. Chapter one covers introduction, including rationale of the study, objectives of the study, scope and method of the study and organization of the study. Chapter two includes the theories and concepts related to interest rates, credit profile, financial performance, collateral requirements, access to finance, government policies, sustainable growth of small and medium enterprises, previous research papers and conceptual framework of the study. Chapter three presents profile and influencing factors on access to finance of small and medium enterprises, demographic profile of respondents and reliability test. Chapter four presents the analysis of the influencing factors on access to finance and sustainable growth of small and medium enterprises in SHWE Bank. Finally, chapter five covers conclusions which include findings and discussions, suggestions and recommendations and needs for further research.

CHAPTER 2

THEORETICAL BACKGROUND

This chapter presents the literature review and theoretical background which are relevant to this study. It also includes definitions and concepts of interest rates, credit profile, financial performance, collateral requirements, access to finance and sustainable growth of small and medium enterprises. Moreover, the previous studies and conceptual framework of the study are presented in this chapter.

2.1 Influencing Factors

There are several key influencing factors that affect access to finance, which in turn impacts sustainable growth. These factors include interest rates, credit profile, financial performance and collateral requirements. These factors form the foundation of the study's framework by highlighting the interconnected relationships that influence SMEs financing and their long-term development prospects.

2.1.1 Interest Rates

Interest rates refer to the cost of borrowing and a fundamental factor in determining the affordability of credit (Mishkin, 2015). They play a critical role in financial markets by influencing credit accessibility, economic stability and business growth. In the context of small and medium-sized enterprises, key drivers of economic development, interest rates significantly impact financing decisions. Higher rates raise the cost of borrowing, potentially discouraging investment and limiting innovation, while lower rates encourage borrowing and expansion (Beck et al., 2008; Osoro & Muturi, 2016). Macroeconomic factors such as monetary policy, inflation and the lending practices of financial institutions shape interest rate levels (Altman et al., 2010). Central banks, such as the Central Bank of Myanmar, establish benchmark rates to guide commercial bank lending and deposit rates. While higher interest rates can control inflation, they may also restrict SME access to credit, whereas lower rates often improve affordability and support long-term financial sustainability (OECD, 2017). Interest rates can be classified into nominal and real rates the latter adjusted for inflation to reflect the true cost of borrowing (Fisher, 1930). They may also be fixed, remaining constant over the loan term, or variable, fluctuating according to market conditions, with each structure presenting unique benefits and risks (Hull, 2021).

Interest rates are determined by the equilibrium between the supply of savings and the demand for investment capital (Robertson & Ohlin, 1930). Wicksell (1898) proposed the existence of an equilibrium interest rate that maintains price stability, with deviations causing inflation or deflation. Keynes (1936) reframed interest as the reward for parting with liquidity, determined by the demand for and supply of money. Ho and Saunders (1981) emphasized bank-specific determinants, including operating costs, risk aversion and market competition, in shaping lending rates.

For SMEs, access to finance depends on both interest rates and associated lending conditions, such as collateral requirements and loan tenors. High collateral demands coupled with elevated interest rates often present barriers to credit access (Njagi, 2023). The strict interest rate policies can reduce lending to SMEs, constraining their capacity for growth (Wanjau, 2017). Conversely, well-structured financial systems with lower interest rates and diverse credit options can promote SME sustainability and contribute to broader economic development (Stokes, 2010). Firm-specific factors such as creditworthiness, profitability, leverage and the strength of banking relationships also play a role in determining interest rates (Howorth & Moro, 2012). In emerging markets, where SMEs often face structural financing constraints, interest rate policy and financial sector reform are central to improving credit accessibility and fostering sustainable business growth.

2.1.2 Credit Profile

A credit profile refers to the combination of credit report and credit score that provides an estimation of individual borrower default risk based on previous lending and expense management activity (Gomez, 2024). It encompasses detailed records of past loans, repayment patterns, outstanding obligations and the quality of credit management. Financial institutions use credit profiles to assess lending risk, shaping decisions regarding loan approval, interest rates and repayment terms (Berger & Udell, 2006). For small and medium enterprises, a strong credit profile facilitates access to funding on favorable terms, while a weak profile often leads to higher borrowing costs or outright loan rejections (Beck et al., 2008). In many cases, credit scoring models and structured risk assessment frameworks are applied to evaluate SMEs' creditworthiness. Factors such as repayment history, debt-to-income ratio and credit utilization patterns form the basis of these assessments, influencing how lenders perceive risk (Osoro & Muturi, 2016).

In developing economies such as Myanmar, the development of formal credit markets remains limited, making the absence of well-documented credit record a significant barrier for SMEs seeking financing (Njagi, 2023). Without a verifiable financial history, many businesses face challenges in meeting traditional lending criteria, thereby restricting their access to affordable credit. Maintaining positive credit behaviors such as timely loan repayment, prudent debt management and consistent financial reporting becomes critical for SMEs operating in such contexts. A well-structured credit profile enhances not only loan approval prospects but also the ability to negotiate more favorable lending conditions, attract investors and support sustainable business growth. Firms with solid financial performance, diverse funding sources and a reliable repayment track record are more likely to secure credit with reduced collateral requirements and competitive interest rates (Wanjau, 2017).

Given the pivotal role of credit risk assessment in promoting SME financing, policymakers and financial institutions must adopt frameworks that balance prudent risk evaluation with the principles of financial inclusion (OECD, 2017). Strategies such as government-backed credit guarantee schemes, alternative credit scoring methods leveraging non-traditional data and targeted financial literacy initiatives can substantially improve SMEs' credit profiles (Stokes, 2010). By combining these measures with a robust regulatory environment, emerging economies can expand access to finance, reduce the cost of borrowing and foster long-term SME sustainability. Strengthening credit profile management is therefore not only a matter of financial discipline but also a strategic pathway to enhancing competitiveness and resilience in increasingly dynamic markets.

2.1.3 Financial Performance

Financial performance refers to the ability of an individual, business, or financial institution to generate profit, maintain stability and achieve sustainable growth over time (Brigham & Ehrhardt, 2020). It is commonly evaluated through financial statements such as income statements, balance sheets and cash flow statements, which provide insights into profitability, liquidity and overall financial health. For stakeholders, including investors, creditors and policymakers, financial performance serves as a critical indicator of an organization’s economic viability and strategic direction (Gitman et al., 2022). In the context of small and medium enterprises, financial performance is especially important, as it influences access to funding by determining creditworthiness through key financial metrics like profitability ratios, liquidity ratios and leverage ratios (Beck et al., 2008).

The financial performance of SMEs is influenced by various internal and external factors such as economic conditions, interest rates, availability of finance and managerial practices (Osoro & Muturi, 2016). SMEs often face challenges including limited access to credit and high borrowing costs, making the improvement of financial performance vital for their long-term sustainability (Njagi, 2023). SMEs with effective financial planning, cost control and diversified revenue streams tend to outperform their peers (Wanjau, 2017). Furthermore, strong financial performance enhances a firm’s creditworthiness, facilitating access to lower-cost financing, whereas poor performance can lead to increased borrowing costs and restricted funding opportunities (Berger & Udell, 2006).

To support SME financial health, policymakers and financial institutions must implement supportive lending policies, credit guarantee schemes and financial literacy programs that foster affordable financing and sustainable business operations (OECD, 2017). The country’s licensed credit bureau plays a pivotal role by providing lenders with accurate credit history reports that verify SMEs’ repayment behavior and creditworthiness. This transparency enables more informed and inclusive financing decisions, thereby strengthening SMEs’ financial performance and contributing to broader economic growth.

2.1.4 Collateral Requirement

Collateral requirements refer to the obligation of borrowers to pledge assets as security for a loan, ensuring lenders can recover funds in case of default (Berger & Udell, 2006). This practice serves as a key risk mitigation tool for financial institutions by reducing potential losses and promoting borrower accountability. The nature and value of collateral demanded vary depending on factors such as loan size, borrower creditworthiness and the lender’s risk assessment policies (Beck et al., 2008). For small and medium enterprises, collateral demands are especially critical as banks often require significant asset pledges, including real estate, machinery, inventory, receivables, or personal guarantees, to mitigate lending risks (OECD, 2017).

However, stringent collateral requirements can pose substantial barriers to SMEs, particularly in developing countries, where many businesses lack sufficient fixed assets to meet such demands (Njagi, 2023). These collateral policies are influenced by broader economic and regulatory conditions including monetary policy, interest rate environments and institutional lending frameworks, with central banks and policymakers seeking to balance risk management against the need to enhance financial inclusion (Osoro & Muturi, 2016). High collateral requirements tend to limit credit accessibility for SMEs, whereas more flexible and innovative collateral approaches can stimulate entrepreneurship and contribute to economic development (Wanjau, 2017).

Muindi and Mutwiri (2021) stated that collateral requirements negatively correlated with portfolio quality in microfinance institutions. High collateral thresholds led to increased default rates, as borrowers often lacked sufficient assets to pledge. Focusing on operational assets and alternative risk assessment methods could improve credit access. To address challenges posed by traditional collateral demands, financial institutions and governments have developed alternative financing mechanisms such as credit guarantee schemes, cash flow-based lending and unsecured loans (Stiglitz & Weiss, 1981). By adopting credit evaluation models that emphasize business performance and cash flow rather than reliance on fixed asset ownership, lenders can expand access to finance for SMEs while effectively managing risk (Altman et al., 2010). These innovations help foster a more inclusive financial ecosystem conducive to SME growth and broader economic progress.

2.2 Access to Finance

Access to finance refers to the availability, affordability and ease with which individuals and businesses obtain financial resources such as credit, savings, insurance and investment services from financial institutions (Waari & Mwangi, 2015). These financial services are fundamental drivers of economic activities and development, especially for small and medium enterprises, which rely on such resources to invest, grow and enhance productivity. Financial resources originate from a variety of sources including formal banks, microfinance institutions and alternative financing mechanisms, all of which play a crucial role in fostering entrepreneurship and sustainable business development.

Despite their importance, SMEs frequently encounter significant barriers to accessing finance, including stringent collateral requirements, limited credit histories, high interest rates and restrictive lending policies. These challenges impede their ability to secure working capital, adopt new technologies and expand operations, thereby constraining growth prospects. Such barriers are particularly pronounced in developing countries like, where underdeveloped financial infrastructure, regulatory limitations and low financial literacy levels further restrict SMEs' access to necessary funding. Moreover, macroeconomic conditions, financial regulations, interest rate environments and credit risk assessments collectively influence the accessibility of financial services.

Jemena (2022) emphasized the importance of tailored financial products, improved credit information systems and capacity-building for entrepreneurs to overcome access challenges. To address these challenges, governments and financial institutions have implemented various strategies aimed at improving financial inclusion and accessibility. Initiatives such as credit guarantee schemes, digital banking promotion and fintech innovations which include mobile banking and peer-to-peer lending that have expanded access, especially among underserved populations. Research shows that economies with well-developed, inclusive financial markets tend to experience higher rates of entrepreneurship, job creation and economic stability. Consequently, policymakers, financial entities and international organizations prioritize efforts to close financing gaps and foster an enabling environment conducive to SME growth and overall economic development.

2.3 Government Policies

Government policies refer to the principles, regulations and laws established to direct a country’s economic, social and financial activities, with the goals of promoting economic stability, enhancing financial inclusion, regulating industries and supporting business development (Stiglitz, 2017). These policies manifest through various instruments, including monetary policies, fiscal policies, trade regulations and financial sector reforms, each playing a critical role in shaping the business environment (World Bank, 2020). For small and medium enterprises, government policies influence critical areas such as access to finance, taxation frameworks, business registration processes and incentives for financial growth (OECD, 2017). Regulatory frameworks addressing interest rates, collateral requirements and credit guarantee schemes directly affect SMEs’ financing opportunities (Berger & Udell, 2006).

In developing economies, supportive government initiatives—such as low-interest financing programs, SME development funds and financial literacy campaigns can reduce barriers to credit access and stimulate business expansion (Beck et al., 2008). Monetary policies, typically enacted by central banks, impact credit availability and costs through mechanisms like interest rate adjustments, liquidity management and banking regulations (Mishkin, 2019). Fiscal policies encompassing government spending, taxation and subsidies further influence the overall economic environment and business sustainability (Keynes, 1936). Complementing these, financial inclusion programs target underserved groups, including SMEs and rural enterprises, aiming to broaden banking access and foster economic participation (Demirgüç-Kunt & Klapper, 2013). Trade policies such as export incentives, tariffs and foreign exchange controls also shape firms' competitiveness in global markets (Krugman, 1991).

Effective government policies are essential for driving economic growth, attracting investment and nurturing entrepreneurship, whereas ill-conceived regulations risk causing credit rationing, financial instability and obstacles to business development (Stiglitz & Weiss, 1981). In response to evolving financial markets, governments worldwide are increasingly adopting digital financial policies to support innovations such as fintech, mobile banking and alternative credit assessment models (OECD, 2020). Achieving a balanced approach to regulation that ensures oversight without stifling competition is vital for cultivating a resilient economy and promoting sustainable business growth (World Bank, 2020).

2.4 Sustainable Growth

Sustainable growth refers to the achievable rate at which a company can expand while maintaining financial stability and ensuring that economic progress does not compromise the needs of future generations (Barak, 2013; World Bank, 2020). This concept emphasizes a balance between financial profitability, efficient resource utilization and societal well-being, intertwining economic development, environmental sustainability and financial resilience to create a foundation for long-term prosperity (OECD, 2017). From a business standpoint, sustainable growth is defined by a firm's ability to increase operations without depleting financial resources or incurring unsustainable debt levels (Higgins, 1977). Key strategies for attaining sustainable growth include profit reinvestment, resource optimization, innovation and prudent financial management (Myers & Majluf, 1984).

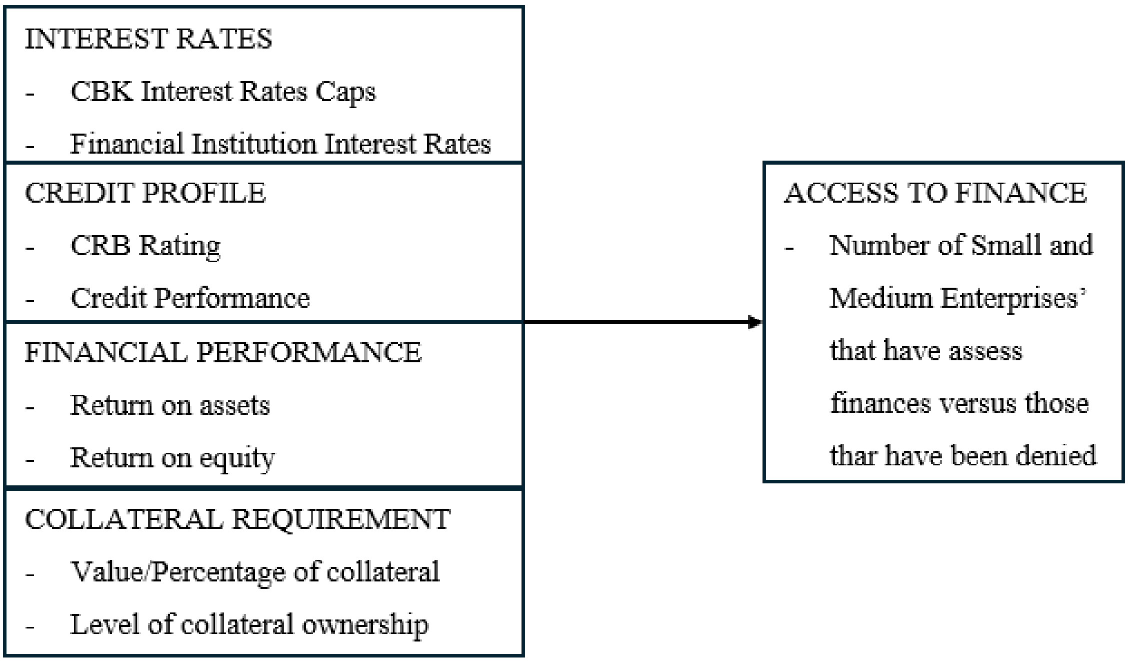
For small and medium enterprises, sustainable growth largely depends on access to finance, enabling government policies, competitive market conditions and technological advancements (Beck & Demirgüç-Kunt, 2006). Within the banking sector, sustainable growth is closely linked to financial stability, responsible lending practices and the promotion of economic inclusion (Mishkin, 2019). Banks play a pivotal role by offering tailored financial products, supporting green financing initiatives adopting risk-adjusted lending approaches that encourage environmentally and socially responsible business growth (Berger & Udell, 2006). Additionally, regulatory frameworks encompassing monetary policies and credit accessibility programs significantly influence sustainable financial development (Stiglitz & Weiss, 1981).

Sustainable growth further incorporates environmental, social and governance considerations, underscoring the importance of ethical business conduct, carbon footprint reduction and social impact initiatives (United Nations, 2015). Organizations that integrate ESG principles tend to benefit from enhanced investor confidence, improved long-term profitability and stronger market positioning (Porter & Kramer, 2011). Achieving sustainable growth requires proactive financial policies and diversified financing options, alongside capacity-building programs that support businesses in expanding without facing excessive financial constraints (Njagi, 2023). Collaborative efforts between governments and financial institutions are critical to fostering an inclusive financial ecosystem that supports economic development while ensuring financial and environmental sustainability (OECD, 2020).

2.5 Previous Studies

In this section, two related studies about the factors affecting access to finance and sustainable growth of small and medium enterprises are discussed. Njagi (2023) explored the factors affecting small and micro enterprises' access to finance in Kirinyaga County, Kenya. The aims of this study were to explore those factors that might influence access to finance by SMEs and their influence on sustainable growth. It examined the factors influencing access to finance among small and micro enterprises (SMEs) in Kirinyaga County, Kenya. The research specifically aimed to analyze the effects of four independent variables interest rates, credit profile, financial performance and collateral requirements on the dependent variable, access to finance. Understanding these relationships was crucial to identifying the financial challenges faced by SMEs in securing formal funding. The study population comprised small and micro enterprises operating within Kirinyaga County, providing a localized context for assessing financial accessibility barriers. The study focused on those SMES with county business permits from the Kirinyaga county government. Data from the county government indicated that there were a total of 206 registered micro and small enterprises with county business permits as presented, a sample size was used 136 among them. Conceptual framework of Njagi (2023) is shown in Figure (2.1).

Figure (2.1) Conceptual Framework of Njagi



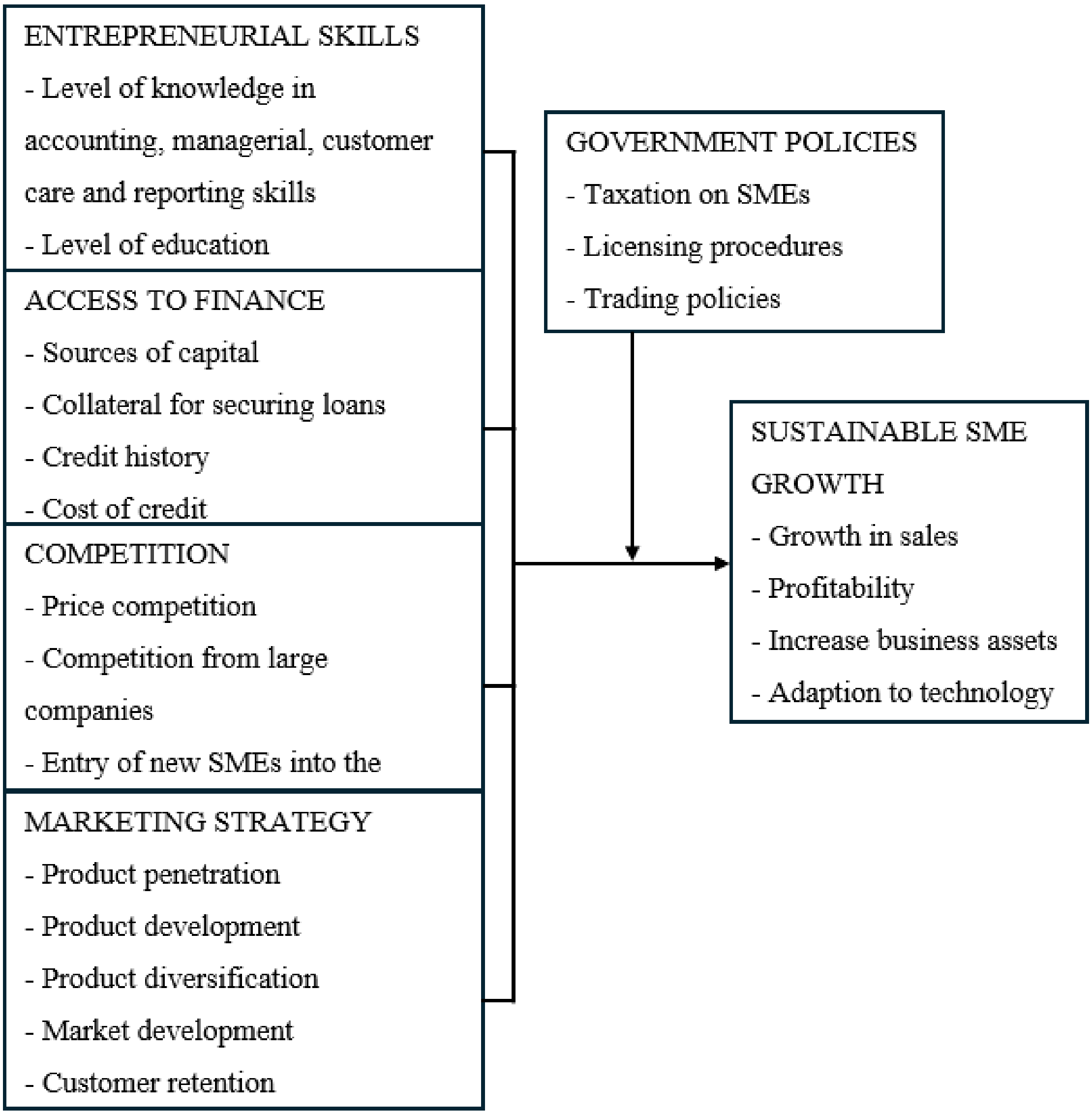
Source: Njagi (2023)

The findings indicated that SMEs' access to finance in Kirinyaga County is significantly shaped by multiple financial determinants, including interest rates, credit profile, financial performance and collateral requirements. The analysis revealed that high interest rates and stringent collateral demand negatively affect SMEs' ability to obtain funding, while strong credit profiles and sound financial performance positively enhance financing opportunities.

Wanjau (2017) explored a study about Factors influencing sustainable growth of small and medium enterprise projects in Thika Town, Kiambu County, Kenya. Wanjau

(2017) investigated the key factors influencing the sustainable growth of small and medium enterprises in Thika Town, Kiambu County, Kenya. Specifically, the research sought to examine the impact of interest rates, credit profile, financial performance and collateral requirements on SMEs' access to finance. These independent variables were hypothesized to directly affect the dependent variable, which is access to finance, a critical enabler of business growth and sustainability. Total population of SMEs in Thika as of 2016 was 1,510. The sample size therefore is 151 equated to 10% of target population of 1,510. Conceptual framework of Wanjau (2017) is shown in Figure (2.2).

Figure (2.2) Conceptual Framework of Wanjau



Source: Wanjau (2017)

The findings showed that entrepreneurial skills, access to finance, business competition and marketing strategies were key determinants of the sustainable growth of

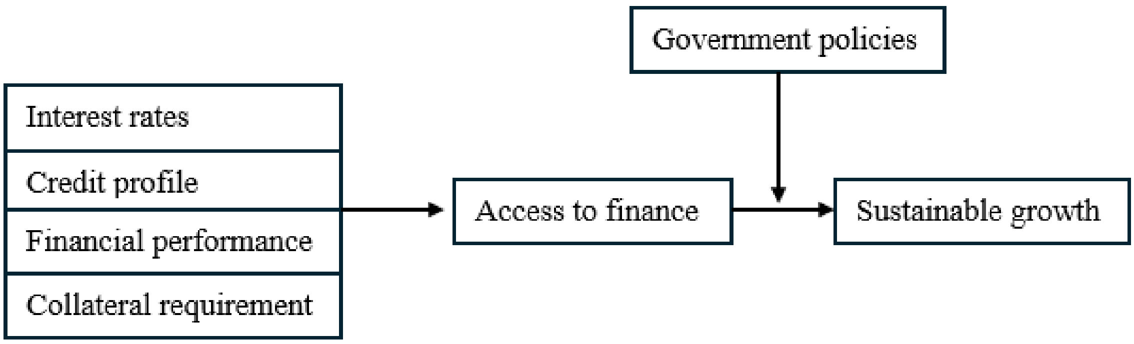
SME projects. The study revealed that deficiencies in entrepreneurial competencies, limited financial access, intense and unhealthy competition and inadequate marketing knowledge significantly constrain the long-term viability of SMEs. Conversely, enterprises that possessed strong managerial and entrepreneurial capabilities, secured affordable financing, maintained a competitive edge and implemented effective marketing strategies were more likely to achieve sustained growth.

Two related studies provide valuable insights into the factors influencing access to finance and the sustainable growth of small and medium enterprises. Both studies underscore the importance of financial accessibility and highlight the systemic barriers that hinder SMEs from obtaining formal funding, thereby affecting their growth potential and sustainability.

2.6 Conceptual Framework of the Study

The conceptual framework of the study is based on concept of previous studies and conceptual frameworks to the factors which affect access to finance in sustainable growth of SMEs in SHWE Bank. The conceptual framework of the study is shown in Figure (2.3).

Figure (2.3) Conceptual Framework of the Study



Source: Own Compilation (2025)

In this conceptual framework, interest rates, credit profile, financial performance and collateral requirements are identified as independent variables and access to finance serves as a dependent variable which are developed from Njagi (2023). Access to finance is independent variable, government policies as a moderating variable and sustainable growth as the dependent variable, which are developed from Wanjau (2017).

CHAPTER 3
PROFILE AND INFLUENCING FACTORS ON ACCESS TO FINANCE OF SHWE BANK

This chapter provides an overview of the factors influencing access to finance. Additionally, the chapter explores sustainable growth of SMEs in SHWE Bank. Demographic profile of the respondents and reliability test of the variables are also included.

3.1 Profile of SHWE Bank

SHWE Rural and Urban Development Bank Ltd. (commonly known as SHWE Bank) is a privately owned commercial bank in Myanmar, incorporated in 2014 under the Financial Institutions Law of Myanmar and licensed by the Central Bank of Myanmar on 28th July of the same year. Headquartered in Yangon, the bank officially launched operations in January 2016 with its head office branch, marking the beginning of its journey to provide inclusive financial services nationwide. Guided by its vision to become the premier bank in Myanmar, SHWE Bank seeks to deliver diverse financial solutions that contribute to both rural and urban development, thereby playing a vital role in nation-building. Its mission emphasizes a sustainable and responsible business model, offering a full range of products and services to a diversified customer base. Over the years, SHWE Bank has consistently aligned its operations with this vision by expanding its branch network, agent banking hubs and digital platforms, ensuring access to banking services for underserved populations and strengthening its position in Myanmar's financial landscape.

SHWE bank provides a comprehensive portfolio of consumer and business banking products tailored to the needs of individuals, small and medium-sized enterprises (SMEs)and corporations. In retail banking, SHWE Bank offers Current Accounts, Savings Accounts, Fixed Deposits and Call Accounts alongside consumer loan products such as personal loans, home loans, education loans and auto loans. For business clients, it provides a wide range of financing facilities including term loans, overdrafts, MSME-focused lending such as SHWE Loan Lay, hire purchase contract financing. To facilitate trade and corporate finance, the bank extends services like Letters of Credit, Bank Guarantees, Documentary Collections and SPOT foreign exchange.

SHWE Bank has also invested significantly in cash management solutions, providing receivable and payable management, liquidity management and reporting systems that enhance operational efficiency for enterprises. Complementing these offerings are modern payment solutions, including card issuance (debit, credit and prepaid), POS acceptance and e-commerce platforms. Its commitment to digital transformation is evident in its mobile and internet banking services, as well as wallet-based solutions and a strong agent banking network, all of which broaden accessibility and convenience for customers across Myanmar.

SHWE bank’s values, represented by the acronym LIFTS, learning and innovation, integrity, fairness, teamwork and service orientation, guide its operations and stakeholder engagement. By combining strong governance with continuous digital innovation and a customer-first approach, SHWE Bank has achieved notable milestones, including asset growth surpassing MMK 500 billion and recognition by the Asian Banking & Finance Awards for service innovation and core banking transformation. These achievements highlight the bank’s resilience, adaptability and its growing role in promoting financial inclusion and economic development in Myanmar.

3.1.1 Vision of SHWE Bank

SHWE Bank's vision is to be a premier financial institution in Myanmar, playing a pivotal role in the country's development by offering a wide range of financial services to both rural and urban communities. This vision is founded on the principle that providing comprehensive financial access is crucial for fostering economic growth and contributing significantly to the nation-building process. The bank's commitment is to make a tangible and meaningful impact on the prosperity of diverse communities throughout Myanmar.

3.1.2 Mission of SHWE Bank

SHWE Bank's mission is to be a key driver of rural and urban development in Myanmar by providing high-quality financial products and services. The bank is committed to empowering individuals and businesses through its dedication to excellence, integrity and a customer-centric approach. By delivering services that meet the specific needs of its clientele, SHWE Bank aims to stimulate economic progress and foster sustainable development nationwide. Ultimately, the bank seeks to create lasting value for all its stakeholders and make a significant, positive impact on the lives of people throughout the country.

3.1.3 Core Values of SHWE Bank

SHWE Bank's core values are a set of guiding principles that shape its organizational culture and strategic direction:

(a) Learning Continuously and Innovation: Emphasizes forward-thinking, a "can-do" attitude and daily self-improvement.

(b) Integrity: Upholds honesty, truthfulness and the avoidance of conflicts of interest.

(c) Fair and Equitable: Ensures merit-based performance, equal opportunities for all and respect that is earned, not granted.

(d) Teamwork: Stresses collaboration, transparency, shared responsibility and acting in the best interest of the bank.

(e) Service Orientation: Places customers first, both external and internal, with a commitment to a high standard of service.

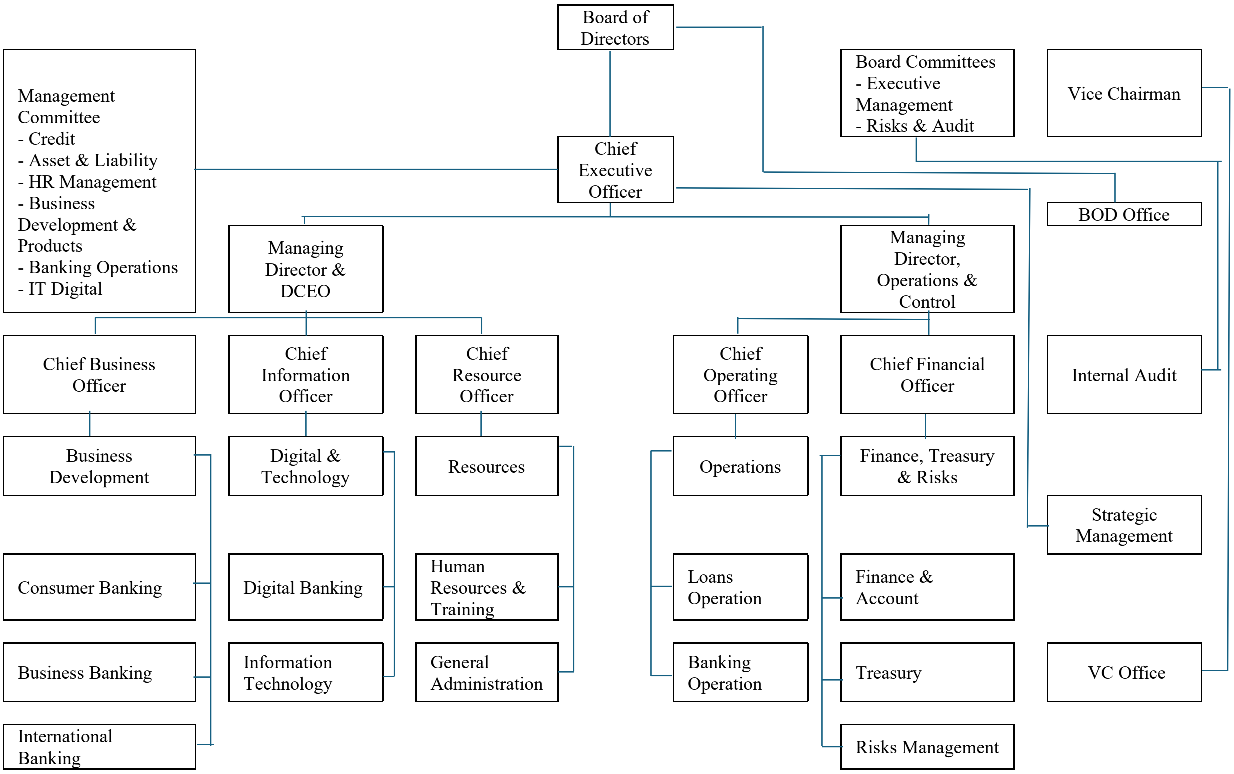
This comprehensive framework of organizational values underscores the symbiotic relationship between a dynamic, ethical internal culture and external performance. At its core, a commitment to learning continuously and innovation fosters a forward-thinking and adaptive environment, cultivating a "can-do" attitude and encouraging a culture of daily self-improvement that is essential for navigating the complexities of the modern financial sector. This dynamism, however, is grounded by the foundational principle of Integrity, which dictates strict adherence to honesty and truthfulness and the proactive avoidance of conflicts of interest, thereby establishing the necessary trust required for all internal and external operations.

Furthermore, the commitment to being Fair and Equitable ensures a merit-based system that provides equal opportunities for all employees, recognizing that respect must be earned through professional conduct and achievement rather than being an inherent right. This equitable environment, in turn, is a prerequisite for effective teamwork, fostering a culture of collaboration, transparency and shared responsibility, where collective success supersedes individual gain and the best interests of the institution are prioritized. Ultimately, the successful integration of these internal values culminates in a robust service orientation, positioning both external and internal customers at the forefront of all strategic and operational decisions and upholding a high standard of service as the ultimate measure of the organization's collective efficacy.

3.1.4 Organizational Structure of SHWE Bank

SHWE Bank's organizational chart demonstrates a classic hierarchical structure with a clear chain of command, flowing from the highest governance level down to operational departments. The top tier is the Board of Directors, which holds the ultimate authority and is responsible for defining the bank's overall strategic direction and risk tolerance. Supporting the Board are specialized Board Committees, such as the Executive Management and Risks & Audit committees, which provide oversight into key functions. This top-down governance is critical for ensuring accountability and strategic alignment throughout the entire organization. A vice chairman also sits at this level, reporting directly to the Board, which is a role in high-level strategic support and oversight.

Figure (3.1) Organization Chart of SHWE Bank



Source: SHWE Bank (2025)

1. Chief Executive Officer

Chief executive officer (CEO) serves as the strategic leader of the organization, responsible for defining and executing the overall vision, mission and strategy of the bank. This role involves coordinating with the board of directors, managing executive committees and ensuring the alignment of operational performance with long-term objectives. The CEO also delegates authority to managing directors and ensures a balance between business growth and risk management.

2. Director & Deputy Chief Executive Officer

Deputy chief executive officer (DCEO) focuses on the bank's internal business functions and strategic initiatives. This role is responsible for business expansion, innovation and ensuring that departments such as business development, technology and resources deliver value. The DCEO works closely with C-level officers to drive growth, maintain efficiency and align operations with the CEO's strategy.

3. Managing Director, Operations & Control

Managing director, operations & control emphasize operational integrity and risk oversight. The MD, Operations & Control ensures compliance with regulatory standards, oversees day-to-day operational processes and manages risk-control mechanisms. By supervising the COO and CFO, this role safeguards the bank's financial soundness and operational reliability.

4. Chief Business Officer

Chief business officer (CBO) leads the business development division, responsible for expanding the bank's market presence. This includes overseeing Consumer Banking, Business Banking and International Banking services. The CBO's role is strategic and revenue-driven, ensuring that client acquisition, product development and relationship management align with the bank's financial objectives.

5. Chief Information Officer

Chief information officer (CIO) directs the digital & technology function, which includes digital banking and information technology. The CIO's role is both strategic and operational, ensuring the adoption of innovative technologies, cybersecurity safeguards and digital solutions that improve efficiency and customer experience.

6. Chief Resource Officer

Chief resource officer (CRO) manages resources, with responsibility for human resources & training and general administration. This role ensures that the bank has skilled personnel, efficient administrative support and effective talent development strategies. The CRO is also responsible for organizational culture, workforce planning and staff performance management.

7. Chief Operating Officer

Chief operating officer (COO) oversees day-to-day operations, including loans operations and banking operations. This role is primarily operational, ensuring that service delivery, process efficiency and compliance standards are maintained. The COO's responsibility is to translate strategy into effective operational practices that support customer satisfaction and business continuity.

8. Chief Financial Officer

Chief Financial Officer (CFO) leads the finance, treasury and risks division, covering finance & accounts, treasury and risk management. This role is critical for financial stewardship, ensuring the bank's profitability, liquidity and capital adequacy. The CFO also oversees risk mitigation strategies and compliance with financial regulations.

The organizational structure of the bank is further articulated through its specialized business units, each designed to support the institution's strategic objectives, operational efficiency and governance responsibilities. The following functions can be categorized according to their functional focus, ranging from customer-oriented divisions to internal support and oversight mechanisms.

(I) Consumer Banking

Consumer banking is primarily concerned with retail financial services offered to individual clients. This function manages savings accounts, loans, credit facilities and other personal financial products. Its strategic significance lies in fostering customer loyalty, expanding the retail customer base and generating stable revenue streams.

(ii) Business Banking

Business banking addresses the financial needs of small and medium-sized enterprises (SMEs) as well as larger corporate clients. The unit provides credit facilities, trade finance and working capital solutions, thereby contributing to economic development and reinforcing the bank's role in supporting business growth.

(iii) International Banking

International banking facilitates cross-border financial services, including foreign exchange and international trade financing. Its role is vital in integrating the bank into global financial markets and in providing services to multinational clients and overseas stakeholders.

(iv) Digital Banking

Digital banking reflects the institution's commitment to technological innovation and customer accessibility. Through mobile applications and online platforms, this unit enhances financial inclusion, reduces operational costs and promotes user-friendly banking experiences.

(v) Information Technology

Information technology underpins the bank's digital infrastructure, ensuring the reliability, security and integration of its systems. This function is critical for operational resilience, cybersecurity and the development of new technological capabilities.

(vi) Human Resource and Training

Human resources and training are tasked with the recruitment, development and retention of personnel. By overseeing employee performance management, training initiatives and succession planning, this unit strengthens the organization's human capital and fosters a culture of continuous learning.

(vii) General Administration

General administration manages internal support services, including facilities, procurement and office operations. Its function is to enable efficiency in the bank's non-financial activities, ensuring the smooth execution of day-to-day operations.

(viii) Loans Operations

Loans operations administer the life cycle of the bank's credit products. This includes loan origination, disbursement, monitoring and recovery, with an emphasis on regulatory compliance and risk control.

(ix) Banking Operations

Banking operations manages the institution's core transactional services, including account maintenance, payment processing and settlement systems. This unit ensures operational accuracy, timeliness and reliability in service delivery.

(x) Finance and Accounts

Finance and Accounts is responsible for financial planning, budgeting and reporting. This unit ensures adherence to accounting standards and provides essential insights to support decision-making and corporate transparency.

(xi) Treasury

Treasury oversees liquidity management, capital allocation and investment portfolios. By managing foreign exchange and interest rate risks, this function ensures the bank's financial stability and capacity to meet funding requirements.

(xii) Risk Management

Risk management is a pivotal governance function tasked with identifying, assessing and mitigating risks across the institution. This includes credit, market, operational and compliance risks, with the objective of safeguarding the bank's long-term sustainability.

(xiii) Internal Audit

Internal audit functions as an independent assurance mechanism, evaluating the adequacy of internal controls, governance processes and regulatory compliance. It serves as a critical safeguard for accountability and transparency.

3.2 Influencing Factors on Access to Finance of SMEs

Interest rates, credit profile, financial performance and collateral are all key factors influencing an SME's ability to access financing, which ultimately affects its potential for sustainable growth. These elements are the foundation of this study's framework because they highlight the interconnected relationships that shape SME's financing options and long-term development.

3.2.1 Interest Rates

Interest rates represent not only the cost of lending but also a key factor in shaping the financial environment for small and medium enterprises. As vital contributors to economic growth, SMEs are highly sensitive to fluctuations in borrowing costs. When rates rise, loans become more expensive, often discouraging investment and innovation among SMEs. Conversely, lower interest rates make financing more affordable, enabling banks to support SME expansion and long-term development.

Banks must also consider the broader macroeconomic conditions that influence rate-setting. Central bank policies, inflation trends and overall market liquidity guide how financial institutions determine lending and deposit rates. While higher rates help contain inflationary pressures, they can reduce SME affordability and restrict access to much-needed credit. Lower rates, on the other hand, improve loan uptake and foster stronger financial resilience among SME borrowers. In practice, banks offer SMEs a range of lending options, including fixed-rate loans that provide repayment for certainty and variable-rate loans that adjust with market conditions. Each product carries distinct benefits and risks, requiring careful assessment of SME needs and risk profiles. The balance between savings supply and investment demand further shapes interest rate levels, influencing both lending decisions and SMEs' willingness to borrow.

From the bank's viewpoint, access to finance for SMEs extends beyond interest rates alone. Lending criteria such as collateral requirements, repayment terms and creditworthiness assessments play a decisive role. High collateral demands, combined with elevated interest rates, can make borrowing less accessible for SMEs. By contrast, flexible lending structures, competitive pricing and diverse credit products allow banks to better serve SMEs, helping them unlock growth potential. In developing economies especially, where SMEs often face structural barriers to finance, banking sector reforms and supportive interest rate policies are critical. By designing lending frameworks that balance risk management with affordability, banks can expand financial inclusion, enhance SME performance and contribute meaningfully to sustainable economic progress. These loans include fixed asset loans and working capital loans, which can be secured or unsecured depending on the loan type. These are shown in Table (3.1).

Table (3.1) Loan Products for SMEs in SHWE Bank

Sr. No.	Loan Product Name	Loan Type	Loan Amount Details	Interest Rate (p.a.)	Repayment Method
1	Shwe Loan Lay (Fixed Asset Loan)	Unsecured Loan	Minimum - MMK 10 million, Maximum - MMK 50 million	14.50%	Monthly or quarterly
2	Shwe Loan Lay (Working Capital Loan)	Unsecured Loan	Minimum - MMK 10 million, Maximum - MMK 50 million	15.00%	Monthly or quarterly
3	MSME Loan (Fixed Asset Loan)	Secured	For Micro Enterprises: Maximum - MMK 10 million	3%	Monthly
			For Small Enterprises: Maximum - MMK 50 million		
			For Medium Enterprises: Maximum - MMK 100 million		
4	MSME Loan (Working Capital Loan)	Secured	For Micro Enterprises: Maximum - MMK 10 million	4%	Monthly
			For Small Enterprises: Maximum - MMK 50 million		
			For Medium Enterprises: Maximum - MMK 100 million		
5	MSME Loan (CGI Loan)	Unsecured Loan	The maximum loan amount for CGI loans Insurance as per Myanma Insurance's guidelines is MMK 20 million	5%	Monthly

Source: SHWE Bank (2025)

As shown in Table (3.1), SHWE Bank offers various types of loans specifically designed for MSME businesses, catering to both micro, small and medium enterprises.

3.2.2 Credit Profile

Credit profile of an SME customer is a fundamental factor in determining access to finance. A credit profile reflects the financial history and overall reliability of a business, encompassing past borrowing behavior, repayment patterns, outstanding debt levels and overall financial discipline. For banks, this information serves as the foundation for assessing risk, guiding decisions on loan approvals, pricing and repayment terms. SMEs with strong credit profiles typically gain access to more favorable financing, such as lower interest rates, reduced collateral requirements and flexible repayment structures. Conversely, weaker profiles increase the risk for lenders, often resulting in higher borrowing costs or restricted credit availability.

Banks commonly employ credit scoring models and structured evaluation systems to assess SMEs creditworthiness. These systems rely on repayment history, debt capacity and the effective use of credit. However, in many developing markets, formal credit systems remain underdeveloped, and SMEs frequently lack complete financial records. This absence of documented credit history creates challenges for banks in applying traditional lending standards, which can limit the availability of affordable credit for otherwise viable businesses. For SMEs, maintaining a solid credit profile is critical not only for securing financing but also for negotiating favorable terms and attracting investment. From a bank's standpoint, SMEs that demonstrate reliable repayment, prudent debt management and accurate financial record-keeping present lower lending risks. Such businesses are more likely to qualify for credit on competitive terms, enabling them to grow sustainably with less collateral pressure.

Banks also recognize the need for innovative solutions to expand SMEs access to finance. Complementary measures such as credit guarantee schemes, alternative credit scoring models that incorporate non-traditional data and financial literacy initiatives can help SMEs strengthen their credit standing. Supported by clear regulatory frameworks, these approaches enable banks to balance sound risk management with inclusive lending practices. Ultimately, from a bank's perspective, a well-managed SMEs credit profile is not just about reducing default risk; it is a strategic enabler of long-term lending relationships. By supporting SMEs in building stronger credit histories, banks can enhance customer competitiveness, expand financial inclusion and contribute to broader economic resilience.

3.2.3 Financial Performance

Financial performance of SMEs customers is one of the most critical indicators of creditworthiness and long-term viability. Financial statements such as income reports, balance sheets and cash flow statements provide banks with essential insights into profitability, liquidity and overall business health. These metrics enable lenders to evaluate repayment capacity and the risks associated with extending credit. SMEs demonstrating strong financial performance through healthy profit margins, sound liquidity management and manageable debt ratios are more likely to secure financing on favorable terms. In contrast, weaker financial results increase lending risk, often leading to higher borrowing costs or restricted access to credit.

Banks recognize that SME financial performance is shaped by both internal management practices and external economic conditions. Factors such as interest rate fluctuations, access to capital, cost structures and the quality of financial planning all play a role. Many SMEs face barriers like limited financing options and high borrowing costs, which heighten the importance of disciplined cost control, efficient cash flow management and diversified revenue streams. SMEs that excel in these areas signal stronger resilience and present more attractive lending opportunities for banks. To support SMEs financial stability, banks and policymakers can help build enabling environments that reduce barriers to credit. This includes adopting supportive lending frameworks, introducing credit guarantee schemes to mitigate risk and promoting financial literacy programs that strengthen SMEs financial management. Credit bureaus also enhance transparency by providing reliable credit histories, allowing banks to make better-informed lending decisions while improving access for SMEs with solid records.

Strong SME financial performance represents more than short-term repayment security; it is a strategic foundation for long-term customer relationships. Businesses with robust financial results are not only more creditworthy but also better positioned for sustainable growth, competitiveness and resilience in evolving markets. By fostering such SMEs, banks can expand their lending portfolios responsibly while contributing to broader economic development.

3.2.4 Collateral Requirement

Collateral requirements are a key tool for managing credit risk when lending to SMEs. By requiring borrowers to pledge assets such as property, machinery, inventory, or even personal guarantees, banks create a safety net that ensures recoverability in the event of default. The type and level of collateral demanded typically depend on loan size, borrower credit history, financial performance and internal risk management policies. For banks, collateral reduces exposure and supports responsible lending practices.

Banks also recognize that collateral requirements present a significant challenge for many SMEs customers. SMEs in developing economies often lack the fixed assets needed to meet traditional collateral demands, making access to finance more difficult. While stringent requirements help safeguard banks against default, they can simultaneously limit SMEs borrowing capacity and hinder business growth. Broader economic conditions, monetary policy and financial system structures also influence collateral practices, further affecting SMEs access to credit. High collateral demands, while risk-reducing, can sometimes backfire—leading to increased defaults if SMEs overextend or struggle to pledge sufficient assets. Recognizing this, banks are exploring more flexible approaches, such as considering operational assets, assessing business cash flows, or evaluating overall financial performance as part of risk assessment. These methods allow banks to extend credit responsibly while reducing dependence on fixed-asset guarantees.

To address SME financing gaps, banks are increasingly adopting alternative solutions in partnership with policymakers. Credit guarantee schemes, unsecured loan products and innovative cash flow–based lending models are examples of how risk can be managed without excessive reliance on collateral. These approaches not only protect lenders but also expand access to credit for SMEs, enabling entrepreneurship and business growth. Collateral is more than a safeguard it is a strategic component of balancing risk management with inclusive financing. By thoughtfully designing collateral policies and incorporating alternative evaluation tools, banks can better serve SMEs customers, strengthen lending portfolios and contribute to broader economic development.

3.3 Demographic Profile of the Respondents

In this part, the study examines the demographic profiles of the survey respondents. The sample population is comprised of a diverse range of respondents across eight key demographic categories: gender, marital status, age, business types, business existence, business relationship, number of employees and education level. This approach ensures that the findings are generalizable to a broader population of SMEs in SHWE Bank. To maintain relevance, all questions are asked to individuals who actively answered through online survey form. Tables (3.2) provides a comprehensive overview of the demographic characteristics of the survey participants.

Table (3.2) Demographic of Profile of the Respondents

Sr. No.	Demographic Profile	Description	Number of Respondents	Percentage
1	Gender	Male	41	50.6
		Female	40	49.4
2	Marital Status	Single	23	28.4
		Married	58	71.6
3	Age (Years)	21-30 years	19	23.5
		31- 40 years	39	48.1
		41 - 50 years	18	22.2
		51-60 years	5	6.2
4	Business Types	Manufacturing	5	6.2
		Labor-based Production	1	1.2
		Food Production	9	11.1
		Service Business	56	69.1
		Others	10	12.3
5	Business Existence	Less than 2 years	24	29.6
		3-5 years	15	18.5
		6-8 years	11	13.6
		9-11 years	10	12.3
		Above 11 years	21	25.9
6	Business Relationship	Owner	45	55.6
		Manager	36	44.4
7	Number of Employees	10 and below	36	44.4
		11 – 20	20	24.7
		21 – 30	4	4.9
		31 – 40	4	4.9
		41 – 50	1	1.2
		Above 50	16	19.8
8	Education Level	Bachelor's degree	53	65.4
		Master's degree	26	32.1
		Others	2	2.5
Total			**81**	**100.0**

Source: Survey Data (2025)

According to Table (3.2), out of a total of 81 respondents, the gender distribution is nearly balanced, with 50.6% male and 49.4% female participants. This indicates that both genders are almost equally represented in the study.

In terms of marital status, Table (3.2) shows that most respondents are married (71.6%), while 28.4% are single. This indicates that a large proportion of participants carried family responsibilities, which may influence their business-related decision-making processes.

Regarding age distribution, Table (3.2) shows that the largest group of respondents were between 31–40 years (48.1%), follow by 21–30 years (23.5%) and 41–50 years (22.2%). Only 6.2% are aged 51–60 years and 2.6% are above 60 years, while no respondent is below 20 years. This demonstrates that most SMEs participants were in their prime working and entrepreneurial years, reflecting active business engagement and growth potential.

In terms of business type, the results in Table (3.2) reveal that most respondents are engaged in service businesses (69.1%), followed by food production (11.1%) and other categories such as grocery stores and liquor stores (12.3%). Manufacturing (6.2%) and labor-based production (1.2%) are less common, while wholesale business does not represent at all. This distribution indicates the dominant role of service-oriented enterprises within SHWE Bank's SMEs clientele. Regarding business existence, 29.6% of the businesses were established for less than two years, while 18.5% operated for three to five years and 13.6% for six to eight years. Another 12.3% has been in existence for nine to eleven years, while 25.9% has been operating for more than eleven years, reflecting a balance between newly established and long-standing enterprises.

As presented in Table (3.2), business relationships are represented by both owners (55.6%) and managers (44.4%), ensuring that both entrepreneurial and managerial perspectives are adequately captured. With respect to the number of employees, the majority (44.4%) employ 10 or fewer workers, follow by 24.7% employing 11–20 workers. Smaller proportions of businesses employ 21–50 workers (11.1%), while 19.8% report employing more than 50 workers. This distribution highlights that most of the enterprises surveyed are small, though some have grown into medium-scale businesses.

Finally, Table (3.2) indicates that the education level of respondents is relatively high, with 65.4% holding bachelor's degree and 32.1% holding master's degree. A small proportion (2.5%) report other educational backgrounds such as high school level and diploma level, while no respondent hold PhD. This shows that most SMEs participants are well-educated, which may positively contribute to their managerial skills and strategic business decision-making.

3.4 Reliability Analysis

The reliability analysis is conducted using Cronbach's alpha to assess the internal consistency of the constructs measured in this study. As displayed in Table (3.3), all variables record Cronbach's alpha values above the minimum acceptable threshold of 0.60 (Hair et al., 2010). This outcome demonstrates that the scale items used for each construct are sufficiently correlated and reliable, thereby confirming that the measurement instruments are dependable for further statistical investigation.

Table (3.3) Levels of Cronbach's Alpha Reliability

Sr. No.	Cronbach's Alpha Value	Level of Reliability
1	0.00 – 0.20	Less Reliable
2	0.20 – 0.40	Rather Reliable
3	0.40 – 0.60	Quite Reliable
4	0.60 – 0.80	Reliable
5	0.80 – 1.00	Very Reliable

Source: Hair et al. (2010)

Hair et al., (2010) classified five levels of reliability based on the range of Cronbach's Alpha values, as shown in Table (3.3). Cronbach's Alpha is a widely used indicator of internal consistency, reflecting how well a set of items measures a single latent construct. According to the classification criteria, values ranging from 0.60 to 0.80 are considered "reliable," while values from 0.80 to 1.00 indicate "very reliable" scales. Table (3.4) displays the Cronbach's Alpha values for the variables in this study.

Table (3.4) Reliability Test

Sr. No.	Variables	No. of item	Cronbach Alpha	Interpretation
1	Interest Rates	5	.751	Reliable
2	Credit Profile	5	.726	Reliable
3	Financial Performance	5	.853	Very Reliable
4	Collateral Requirement	5	.685	Reliable
5	Access To Finance	7	.834	Very Reliable
6	Government Policies	7	.908	Very Reliable
7	Sustainable Growth	7	.843	Very Reliable

Source: Survey Data (2025)

The results of the reliability analysis as presented in Table (3.4) are assessed using Cronbach's Alpha values and interpreted based on the reliability classification shown in Table (3.3). In this study, the results reveal that six out of seven constructs achieved a reliability coefficient above the threshold of 0.70, confirming their suitability for further statistical analysis. Specifically, interest rates ($\alpha = 0.751$), credit profile ($\alpha = 0.726$) and collateral requirement ($\alpha = 0.685$) fall within the range of 0.60–0.80, thereby classified as "reliable." These results indicate that the items under these constructions demonstrate an acceptable degree of consistency, although collateral requirement, with the lowest alpha value of 0.685, indicates comparatively weaker reliability and may require refinement of some measurement items.

On the other hand, financial performance ($\alpha = 0.853$), access to finance ($\alpha = 0.834$), sustainable growth ($\alpha = 0.843$) and government policies ($\alpha = 0.908$) all exceed the 0.80 benchmark, placing them in the "very reliable" category. This implies that the items measuring these constructions are highly consistent and strongly reliable in capturing their intended concepts. Notably, government policies, with the highest alpha of 0.908, demonstrate exceptional internal consistency, indicating that its items are the most robust in the study. Overall, the findings indicate that the measurement instruments used in this research possess satisfactory to very high reliability, with most constructs performing at a very reliable level, thereby ensuring the credibility of the data collected and strengthening the validity of subsequent analyses.

CHAPTER 4

ANALYSIS OF THE INFLUENCING FACTORS ON ACCESS TO FINANCE AND SUSTAINABLE GROWTH OF SMES IN SHWE BANK

This chapter presents the analysis of influencing factors on access to finance, including interest rates, credit profile, financial performance and collateral requirement, as well as the overall outcome, sustainable growth. Respondent perception on influencing factors, access to finance, government policies and sustainable growth is initially analyzed. In addition, influencing factors on access to finance is examined. Moreover, the moderating effect of government policies on the relationship between access to finance and sustainable growth is analyzed.

4.1 Respondent Perception on Influencing Factors, Access to Finance, Government Policies and Sustainable Growth

The primary data for this study, which focuses on the perception of owners or managers of small and medium enterprises at Shwe Bank regarding influencing factors on access to finance, government policies and sustainable growth, are collected using a structured questionnaire. This instrument employs a 5-point Likert scale (1: strongly disagree, 2: disagree, 3: neutral, 4: agree, 5: strongly agree). According to Best (1977), the following interpretations are made based on the mean values of the 5-point Likert scale items. These are mean between 1.00 - 1.80 shows strongly disagree; a mean between 1.81 - 2.60 shows disagree; a mean between 2.61 - 3.40 shows neutral; a mean between 3.41 - 4.20 shows agree; and a mean value between 4.21 - 5.00 shows strongly agree. The collected data are analyzed using descriptive statistics, where the mean values are interpreted using the mean rating scale.

Table (4.1) Mean Rating Scale

Sr. No.	Mean Score Range	Interpretation
1	4.21 – 5.00	Strongly Agree
2	3.41 – 4.20	Agree
3	2.61 – 3.40	Neutral
4	1.81 – 2.60	Disagree
5	1.00 – 1.80	Strongly Disagree

Source: Best (1977)

To evaluate the collected survey results, the mean rating scale for each variable is calculated, as presented in Table (4.1). Following the methodology established by Best (1977), the calculated mean scores are categorized into five distinct categories based on defined score ranges.

Data entry is facilitated using Microsoft Office (2019), while the Statistical Package for the Social Sciences (SPSS) software is utilized for the calculation of descriptive statistics, including mean scores and standard deviations. These analytical procedures are employed to address the research objectives by quantitatively assessing how small and medium enterprises at SHWE banks perceive and evaluate the influencing factors on access to finance and their sustainable growth.

4.1.1 Respondent Perception on Influencing Factors

This section presents the respondent perception on influencing factors. The influencing factors consists of interest rate, credit profile, financial performance and collateral requirement.

(1) Respondent Perception on Interest Rates

Respondent perception on interest rates is asked with five statements. Based on the descriptive statistics, each finding is presented in terms of mean scores and standard deviations. Furthermore, the overall mean score is calculated for each variable to summarize respondent perception of interest rates.

Table (4.2) Interest Rates

Sr. No.	Description	Mean Value	Std. Deviation
1	Being more likely to seek alternative financing when bank interest rates are high	3.78	1.000
2	Improving SMEs' trust in financial institutions	4.12	.748
3	Affecting the affordability of long-term financing for SMEs	4.06	.796
4	Being essential for sustainable SME financing	4.21	.770
5	Preferring fixed interest rate loans to avoid uncertainty	3.93	.891
Overall Mean		**4.02**	

Source: Survey Data (2025)

According to Table (4.2), all the mean values except a statement (including overall mean) of interest rates fall between 3.41 and 4.20. It can be concluded that most of the respondents generally agree with the interest rates on their access to finance and sustainable growth. The respondents agree that transparent interest rate policies improve SMEs' trust in financial institutions. Interest rates directly affect the affordability of long-term financing for SMEs. They also agree that SMEs are more likely to seek alternative financing when bank interest rates are high. SME prefers fixed interest rate loans to avoid uncertainty.

Since a statement lies between 4.21 and 5.00, respondents strongly agree with the stability of interest rate. They strongly agree that interest rate stability is essential for sustainable SME financing.

(2) Respondent Perception on Credit Profile

Respondent perception on credit profile is asked with five statements. Based on the descriptive statistics, each finding is presented in terms of mean scores and standard deviations. Furthermore, the overall mean score is calculated for each variable to summarize respondent perception on credit profile.

Table (4.3) Credit Profile

Sr. No.	Description	Mean Value	Std. Deviation
1	Being a key determinant in the decision-making process for loan disbursement	3.95	.773
2	Receiving better credit terms for customers with good credit than new applicants	4.05	.650
3	Encouraging SMEs access to long-term financing	3.93	.755
4	Being more likely to receive favorable loan terms	3.93	.848
5	Facing significant benefits in accessing formal finance	3.84	.941
Overall Mean		**3.94**	

Source: Survey Data (2025)

According to the Table (4.3), all the mean values (including overall mean) fall between 3.41 and 4.20. It can be concluded that most of the respondents agree with the credit profile of SMEs. The respondents agree that existing customers with good credit records receive better credit terms than new applicants. Credit history is a key determinant in the decision-making process for loan disbursement. Furthermore, they agree that formal credit ratings encourage SMEs access to long-term financing. SMEs with consistent repayment records are more likely to receive favorable loan terms. Respondents agree that SMEs with good credit histories can get benefits in accessing formal finance.

(3) Respondent Perception on Financial Performance

Respondent perception on financial performance is asked with five statements. Based on the descriptive statistics, each finding is presented in terms of mean scores and standard deviations. Furthermore, the overall mean score is calculated for each variable to summarize respondent perception on financial performance.

Table (4.4) Financial Performance

Sr. No.	Description	Mean Value	Std. Deviation
1	Assessing SMEs profitability before approving credit	4.09	.762
2	Regularly auditing their financial statements has better access to finance	3.99	.766
3	Preferring SMEs with detailed cash flow records	4.02	.774
4	Enhancing SMEs loan approval rates with accurate financial documentation	4.20	.660
5	Being a key determinant in SMEs sustainability and growth.	4.09	.693
	Overall Mean	**4.08**	

Source: Survey Data (2025)

According to the Table (4.4), all the mean values (including overall mean) fall between 3.41 and 4.20. It can be concluded that most of the respondents agree with the financial performance. The respondents agree that accurate financial documentation enhances SMEs loan approval rates. Financial institutions assess SMEs profitability before approving credit. Financial performance is a key determinant in SMEs sustainability and growth. They further agree that financial institutions prefer SMEs with detailed cash flow records. SMEs that regularly audit their financial statements have better access to finance.

(4) Respondent Perception on Collateral Requirement

Respondent perception on collateral requirement is asked with five statements. Based on the descriptive statistics, each finding is presented in terms of mean scores and standard deviations. Furthermore, the overall mean score is calculated for each variable to summarize respondent perception on collateral requirement.

Table (4.5) Collateral Requirement

Sr. No.	Description	Mean Value	Std. Deviation
1	Requiring collateral to reduce lending risk for SMEs	3.94	.913
2	Improving SMEs access to finance with collateral substitutes (credit guarantees)	3.86	.862
3	Promoting inclusive financing for SMEs	3.98	.806
4	Providing tangible assets as security hinders their access to credit facilities	3.77	.926
5	Requiring collateral before issuing a loan	3.88	.857
	Overall Mean	**3.88**	

Source: Survey Data (2025)

According to the Table (4.5), all the mean values (including overall mean) fall between 3.41 and 4.20. It can be concluded that most of the respondents agree with collateral requirement of SMEs at SHWE Bank. Respondents agree that reducing collateral requirements can promote inclusive financing for SMEs. Financial institutions require collateral to reduce lending risk for SMEs and that banks require collateral before issuing a loan. They further agree that collateral substitutes (credit guarantees) improve SMEs access to finance and that the limited ability of SMEs to provide tangible assets as security hinders their access to credit facilities.

4.1.2 Respondent Perception on Access to Finance

Respondent perception on access to finance is asked with seven statements. Based on the descriptive statistics, each finding is presented in terms of mean scores and standard deviations. Furthermore, the overall mean score is calculated for each variable to summarize respondent perception on access to finance.

Table (4.6) Access to Finance

Sr. No.	Description	Mean Value	Std. Deviation
1	Being accessing formal financial services	3.53	.867
2	Enhancing the effectiveness of SMEs financing programs	3.69	.861
3	Being a key determinant of SMEs survival and growth	3.96	.782
4	Improving SMEs access to finance contributes directly to national economic resilience	4.00	.822
5	Leading to growth of the business.	4.14	.666
6	Having increased the sustainability of the business	4.07	.755
7	Helping SMEs maintain access to finance	4.10	.718
Overall Mean		**3.93**	

Source: Survey Data (2025)

According to the Table (4.6), all the mean values (including overall mean) fall between 3.41 and 4.20. It can be concluded that most of the respondents generally agree with access to finance of SMEs to SHWE Bank. Respondents agree that quick access to financial resources led to growth of the business. They also agree on the importance of support mechanisms, noting that Emergency financial support during crises helps SMEs maintain access to finance. Commercial banks loans and other facilities have increased the sustainability of the business. Further, they agree that improving SMEs access to finance contributes directly to national economic resilience. Access to finance is a key determinant of SMEs survival and growth.

4.1.3 Respondent Perception on Government Policies

Respondent perception on government policies is asked with seven statements. Based on the descriptive statistics, each finding is presented in terms of mean scores and standard deviations. Furthermore, the overall mean score is calculated for each variable to summarize respondent perception on government policies.

Table (4.7) Government Policies

Sr. No.	Description	Mean Value	Std. Deviation
1	Promoting entrepreneurship contributes to SME sustainability	3.80	.928
2	Encouraging SMEs reinvestment and growth	4.02	.790
3	Supporting SMEs expansion with regulatory simplification by the government	3.77	.965
4	Accelerating SMEs innovation and sustainability	3.86	.877
5	Improving SMEs competitiveness	3.86	.818
6	Enhancing the impact of SMEs development policies	3.72	.840
7	Improving the effectiveness of SMEs support programs	3.70	.843
	Overall Mean	**3.82**	

Source: Survey Data (2025)

According to the Table (4.7), all the mean values (including overall mean) fall between 3.41 and 4.20. It can be concluded that most of the respondents generally agree with the government policies. They agree that tax incentives provided by the government encourage SMEs reinvestment and growth. They also agree that government partnerships with private sectors accelerate SMEs innovation and sustainability. Government-sponsored training programs can improve SMEs competitiveness. SMEs development policies promote entrepreneurship. Regulatory simplification can improve the effectiveness of SMEs support programs.

4.1.4 Respondent Perception on Sustainable Growth

Respondent perception on sustainable growth is asked with seven statements. Based on the descriptive statistics, each finding is presented in terms of mean scores and standard deviations. Furthermore, the overall mean score is calculated for each variable to summarize respondent perception on sustainable growth.

Table (4.8) Sustainable Growth

Sr. No.	Description	Mean Value	Std. Deviation
1	Providing sufficient collateral when applying for loans	3.54	.822
2	Allowing to expand into new markets and increase competitiveness	4.06	.695
3	Supporting innovation and product development in SMEs	4.10	.663
4	Managing financial performance effectively to meet lender expectations	3.93	.738
5	The combination of financial access and supportive government policies strengthens SMEs' resilience	3.94	.780
6	Maintaining a strong credit profile that improves chances of securing finance	3.99	.733
7	Contributing to long-term sustainability	4.20	.714
Overall Mean		**3.96**	

Source: Survey Data (2025)

According to the Table (4.8), all the mean values (including overall mean) fall between 3.41 and 4.20. It can be concluded that most of the respondents generally agree with their long-term sustainability and growth. Access to finance supports innovation and product development in SMEs. Financial access allows SMEs to expand into new markets and increase competitiveness. They agree that the combination of financial access and supportive government policies strengthening their resilience. They are maintaining a strong credit profile to improve the chances of securing finance. They agree that financing contributes to long-term sustainability.

4.2 Analysis of the Influencing Factors on Access to Finance

This section presents the results of the multiple regression analysis examining the effect of interest rates, credit profile, financial performance and collateral requirement on the access to finance. Results are shown in Table (4.9).

Table (4.9) Influencing Factors on Access to Finance

Model	Unstandardized Coefficients		Standardized Coefficients	t	Sig.	Collinearity Statistics	
	B	Std. Error	Beta			Tolerance	VIF
(Constant)	1.023	.388		2.634	.010		
Interest Rates	.042	.102	.045	.411	.682	.590	1.696
Credit Profile	.077	.145	.076	.531	.597	.348	2.876
Financial Performance	.242*	.129	.254	1.878	.064	.395	2.532
Collateral Requirement	.372***	.115	.390	3.247	.002	.500	2.002
R	0.673						
R Square	0.453						
Adjusted R Square	0.424						
F Value	15.739***						
Durbin-Watson	1.88						

Source: Survey Data (2025)

*** Significant at 1% level, ** Significant at 5% level, * Significant at 10% level.

Result indicates a strong level of explanatory power (R=0.673). The Adjusted R Square value of 0.424 indicates that approximately 42.4% of the variance in access to finance can be explained by the four factors collectively. The overall model is statistically significant, supported by an F-value of 15.739 and a significance of 0.000 (significant at the 1% level), thereby confirming the model's validity and overall statistical significance. Financial performance and collateral requirement have significant effect on access to finance. In contrast, interest rates and credit profile were found to have a statistically non-significant effect on Access to Finance when controlling for the other factors in the model.

Financial performance has a positive and significant effect on access to finance at 10% level (B=0.242, Sig.=0.064) confirming that the overall financial health of an SME contributes to improved access. Borrower with strong and consistent financial performance evidenced by metrics like revenue growth, profitability (e.g., high return on assets or return on equity) and cash flow stability signals a high capacity to repay the loan. This aligns with the bank's core mission of promoting stability and responsible lending, as mentioned in their risk management framework. The positive coefficient indicates that, all else being equal, better financial performance from a borrower is associated with a more favorable outcome (e.g., higher loan amount, better loan terms, or improved loan performance).

The regression Table indicates that the collateral requirement has positive and significant effect on access to finance at 1% level, unstandardized coefficient (β) of 0.372 and a high significance with a p-value (Sig.) of 0.002. This clearly demonstrates that collateral has a positive and significant effect on access to finance. The results show that the ability of SMEs to meet collateral demands is the most powerful factor in securing finance. With collateral requirement, SMEs can have more funds from SHWE Bank.

4.3 Analysis of the Effect of Access to Finance on Sustainable Growth

This analysis examines the effect of access to finance on variable on sustainable growth to achieve the second objective. Results are shown in Table (4.10).

Table (4.10) Effect of Access to Finance on Sustainable Growth

Model	Unstandardized Coefficients		Standardized Coefficients	t	Sig.	Collinearity Statistics	
	B	Std. Error	Beta			Tolerance	VIF
(Constant)	1.052	.267		3.941	.000		
Access to Finance	.741***	.067	.778	11.011	.000	1.000	1.000
R	0.778						
R Square	0.605						
Adjusted R Square	0.600						
F Value	121.250 ***						
Durbin-Watson	1.995						

Source: Survey Data (2025)

*** Significant at 1% level, ** Significant at 5% level, * Significant at 10% level.

Access to finance is a highly significant and powerful determinant of the sustainable growth of SMEs. The model indicates a robust positive relationship, with a large unstandardized coefficient (B) of 0.741 and a standardized coefficient (Beta) of 0.778. This means that better access to financial resources is not just correlated with but is the positive single predictor of long-term growth and stability for small and medium enterprises. The result shows a robust model fit (R=0.778). The Adjusted R Square value of 0.600 indicates that access to finance alone explains 60.0% of the variance in sustainable growth. The model is highly significant, supported by an F-value of 121.250 and a significance of 0.000.

The regression results confirm that access to finance has positive and significant effect on sustainable growth, with a coefficient (B) of 0.741 and a significance of 0.000. This means that improvements in SME access to finance strongly contribute to better long-term sustainability and growth outcomes. Access to finance is crucial for the sustainable growth of SMEs, but they face challenges like high transaction costs and a lack of financial skills. SHWE Bank offering diverse products like green finance and finance and SMEs can improve their sustainability reporting to build a strong business case and attract funding.

4.4 Analysis on the Moderating Effect of Government Policies on the Relationship between Access to Finance and Sustainable Growth

This analysis investigates the moderating effect of government policies on the relationship between access to finance and sustainable growth to achieve the third objective. The analysis uses two models: Model 1 includes the main effects (access to finance × government policies) and Model 2 adds the interaction term (access to finance × government policies). Results are shown in Table (4.11).

Table (4.11) Moderating Effect of Government Policies on the Relationship between Access to Finance and Sustainable Growth

Variables	Model 1				Model 2			
	Unstandardized Coefficient		Beta	Sig	Unstandardized Coefficient		Beta	Sig
	B	SE			B	SE		
(Constant)	0.895	0.252		.001	2.231	1.245		.077
Access to Finance	0.552***	0.082	0.58	.000	0.212	0.321	0.223	.510
Government Policies	0.236***	0.065	0.311	.001	-0.128	0.338	-0.168	.706
Access to Finance × Government Policies					0.091	0.083	0.762	.277
R	0.814				0.817			
R Square	0.662				0.668			
Adjusted R Square	0.654				0.655			
F Value	76.548***				51.563***			

Source: Survey Data (2025)

*** significant at 1% level, ** significant at 5% level, * significant at 10% level.

In Model 1, the unstandardized coefficient for access to finance is 0.552 ($p < 0.01$), with a standardized Beta of 0.580, indicating a strong and statistically significant positive relationship with business performance. Government policies show a positive and significant effect, with an unstandardized coefficient of 0.236 ($p < 0.01$) and Beta of 0.311. This suggested that both access to finance and supportive government policies independently and significantly contribute to improved business performance. The model demonstrates a positive explanatory power, with an R of 0.814 and an R Square of 0.662, indicating that 66.2% of the variance in business performance is explained by access to finance and government policies. The Adjusted R Square of 0.654 confirmed that the model fits the data well. The F-value of 76.548 further indicated that Model 1 is statistically significant overall.

Model 2 introduces the interaction term (access to finance × government policies) to examine the moderating effect of government policies on the relationship between access to finance and business performance. In this model, coefficient for access to finance decreases substantially to 0.212 ($p > 0.10$), with a Beta of 0.223, indicating that its direct effect becomes statistically insignificant when the interaction term is included. Similarly, government policies exhibit an insignificant direct effect, with a coefficient of -0.128 ($p > 0.10$) and Beta of -0.168. The interaction term (access to finance × government policies) has a coefficient of 0.091 ($p > 0.10$) and Beta of 0.762, showing no significant moderating effect.

The model's explanatory power shows only marginal change, with R increasing slightly from 0.814 to 0.817and R Square from 0.662 to 0.668. The Adjusted R Square also remains almost constant (0.654 to 0.655), including the interaction term does not substantially improve the model fit. The F-value declines from 76.548 in Model 1 to 51.563 in Model 2, further indicating that the interaction between access to finance and government policies does not meaningfully enhance the model's explanatory ability.

Therefore, the results indicate that government policies do not have a significant moderating effect on the relationship between access to finance and business performance. This finding indicates that the interaction term is not statistically significant. The effect of access to finance on sustainable growth is not significantly strengthened or weakened by the level of government policies. Government support programs, especially loan schemes, are designed to help businesses grow. However, the application process can sometimes take longer than expected, which may slow down access to funds. By making the process faster and simplifying requirements such as documentation, collateral and credit history, these programs can become more inclusive and effective, allowing newer and smaller SMEs to benefit more easily from financial support.

This finding indicates that the interaction term is not statistically significant. The effect of access to finance on sustainable growth is not significantly strengthened or weakened by the level of government policies. Government loan programs are created to support and promote business growth. Yet, lengthy application procedures can sometimes delay the release of funds. If the process is streamlined and the requirements for documents, collateral and credit history are made simpler, these programs can better serve a wider range of SMEs, especially new and small businesses, helping them access financial assistance more efficiently.

CHAPTER 5

CONCLUSION

This chapter synthesizes the key empirical findings of the study, provides actionable recommendations directed towards SHWE Bank and policymakers and identifies areas that merit further academic exploration. The chapter is organized into three sections: a discussion of the findings, practical recommendations derived from the analysis and limitations of the study with directions for future research.

5.1 Findings and Discussions

The study examines the influencing factors on access to finance and sustainable growth. This chapter presents the overall findings and detailed discussions derived from the survey responses collected from 81 owners or managers of small and medium enterprises at SHWE Bank. The sample respondents reflect an actively engaged community of borrowers, characterized by a nearly balanced gender distribution, most married individuals in their prime entrepreneurial years (31–40 years) and a high proportion of individuals with bachelor's and master's degrees, confirming a well-educated managerial base. All measurement instruments demonstrated strong reliability, ensuring the internal consistency of the constructs for further statistical investigation. The discussions integrate empirical evidence from the collected data with existing theoretical frameworks, offering a comprehensive understanding of the dynamics that drive SME sustainability within SHWE Bank's lending environment.

According to the mean values, respondents agree that interest rate of SMEs is financing from SHWE Bank. Likewise, transparent interest rate policies are perceived to enhance trust in financial institutions. Although SMEs tend to seek alternative financing sources when bank interest rates are high, this perception shows more variation among respondents. The results imply that SMEs favor stable and predictable interest rate environments to ensure effective financial planning and confidence in lenders. They strongly agree that interest rate stability is essential for sustainable SME financing.

According to the mean values, respondents agree with the credit profile. They agree that existing customers with strong credit records receive better terms compared to new applicants. Similarly, SMEs with consistent repayment histories are more likely to obtain favorable loan conditions. Although the benefits of a good credit history are widely acknowledged, the results also suggest some variability in how SMEs experience these advantages. A positive credit history and reliable repayment record is critical for SMEs seeking long-term financing opportunities.

According to the mean values, respondents agree on the financial performance of SMEs for loan borrowing. They agree that the highest-rated statement emphasizes that accurate financial documentation significantly enhances SMEs loan approval rates. Similarly, profitability assessments and regular auditing of financial statements are key factors in gaining lender confidence. SMEs with transparent, well-documented and profitable financial structures are more likely to secure credit from financial institutions. Therefore, financial performance is a vital factor in SMEs sustainability and access to financing.

According to the mean values, respondents agree the collateral requirement of SMEs to borrow loans from SHWE Bank. They agree that reducing collateral requirements can encourage more inclusive financing, it indicates that many SMEs struggle to provide sufficient tangible assets as loan security. Respondents also agree that collateral substitutes such as credit guarantees can improve financing access. While collateral is crucial in minimizing lender risk, easing collateral demands and promoting alternative mechanisms could significantly enhance SME access to credit.

According to the mean values, respondents agree to access finance. Respondents agree that emergency financial support and commercial bank facilities enhance SME sustainability. Improving access to timely and adequate financing opportunities is essential for strengthening SME development and competitiveness. Access to finance is a critical determinant of SME growth.

According to the mean values, respondents agree with the government policies. They agree that government policies have a moderately positive influence on SME development, corresponding to tax incentives, which are viewed as effective tools for encouraging reinvestment and business growth. However, policy coherence across ministries and regulatory simplification received lower ratings, suggesting areas that need improvement. Respondents also agree that government-supported training and partnerships with private sectors contribute to SME innovation and competitiveness. Government initiatives are beneficial, more coordinated and consistent policy measures are required to maximize their impact on SMEs.

According to the mean values, respondents agree with the sustainable growth of SMEs. They agree that financing contributes directly to the long-term sustainability of SMEs. Additionally, respondents acknowledge that access to finance supports innovation, product development and market expansion. The combination of financial access, good credit profiles and effective management practices enhance SME resilience and competitiveness. Therefore, sustainable growth is achieved when financial and policy frameworks work together to strengthen SME capacity and continuity.

To achieve the first objective, a multiple regression analysis is conducted to examine the influencing factors on access to finance. The multiple regression analysis reveals that collateral requirements and financial performance exert positive and significant influence on access to finance. Interest rates and credit profile are not significant with access to finance. This finding indicates that SMEs capable of meeting asset-pledging requirements and maintaining consistent financial health are more likely to secure formal financing. For SHWE Bank, this outcome reinforces the practical relevance of traditional lending principles where collateral serves as the primary safeguard against credit risk and profitability reflects the borrower's repayment capacity.

Addressing the second objective, the analysis on the effect of access to finance on sustainable growth is examined with simple linear regression analysis. This finding rigorously confirms that obtaining necessary external funding is a robust, essential and primary driver of an SME's ability to achieve long-term viability, innovation capacity and market expansion. It indicates that access to finance serves as a critical and direct driver of business sustainability. From SHWE Bank's viewpoint, timely and sufficient financing empowers SMEs to invest in innovation, expand market reach and strengthen long-term competitiveness. From the business perspective, securing external funding is not merely a financial necessity but a foundational enabler for sustained growth, improved productivity and resilience in a competitive market environment.

For the third objective, the moderating effect of government policies on the relationship between access to finance and sustainable growth of SMEs indicates that there is no statistically significant moderating effect exists. In Model 1, the main effects of access to finance and government policies were both highly significant. However, upon introducing the interaction term (access to finance and government policies) in Model 2, several key findings support the conclusion of no moderating effect. First, the interaction term itself, (access to finance x government policies), is not statistically significant. Second, the change in the total variance explained is negligible and the interaction term contributes virtually nothing to the model's explanatory power. Therefore, while both access to finance and government policies significantly influence sustainable growth independently, government policies do not support the relationship between access to finance and sustainable growth. Therefore, access to finance serves as the core mechanism linking a firm’s financial capabilities to its ultimate sustainable growth, with government policies playing a positive, independent, supportive role rather than acting as a conditional factor that alters the effectiveness of financing itself.

Overall, the findings lead to two primary strategic conclusions for SHWE Bank and its SME clientele. First, the most effective pathways to increasing access to finance involve strengthening the SME's ability to demonstrate adequate collateral and consistent financial performance. Second, improving access to finance represents the most substantial and reliable mechanism for stimulating sustainable growth, as confirmed by the value. Enhancing financial access therefore remains the central priority, as its effect on growth is direct, strong and largely independent of the currently non-significant moderating role of external government policies.

5.2 Suggestions and Recommendations

The following recommendations are proposed to enhance SHWE Bank's lending effectiveness, mitigate financial barriers for Susan foster sustainable competitive growth, based on the identified significant relationships in the study.

The study confirms that financial performance has a positive and significant effect on access to finance, underscoring the critical role of SMEs financial health in securing funding. SHWE Bank should, therefore, prioritize the implementation of an ongoing financial literacy and management advisory program specifically designed for its SME clients. This initiative should focus on teaching owners and managers how to generate accurate financial documentation, maintain detailed cash flow records consistently report profitability. By investing in the financial sophistication of its clientele, the Bank can enhance the SME's transparency, increase their overall creditworthiness and significantly streamline the internal risk evaluation and loan approval processes.

The analysis reveals that the collateral requirement has positive and significant effects on access to finance, indicating that the ability to meet collateral demands remains the most decisive factor. To mitigate this pervasive barrier while responsibly managing risk, SHWE Bank should actively diversify its risk assessment models beyond the strict reliance on tangible, fixed assets. The bank should strategically expand the use of collateral substitutes, such as partnering with credit guarantee schemes, or implementing a cash-flow-based lending methodology that emphasizes operational history over asset pledges. These measures will expand credit accessibility for viable SMEs. Owners and managers of SMEs should use proper collateral to finance their capital thereby increasing the market reach and competitive posture of the Bank's lending portfolio.

Access to finance has positive and significant direct effect on sustainable growth, establishing it as the most critical pathway for long-term SME success. SHWE Bank should ensure the efficiency and accessibility of its financial resources through the continued provision and strategic expansion of existing products, such as the Shwe Loan Lay. The focus should be on providing quick access to financial resources that support growth-oriented activities, specifically innovation, new product development and market expansion, which SMEs view as essential for their long-term viability. This strategic resource deployment directly translates into maximizing the sustainable growth and economic resilience of the Bank's customer base. Owners and managers of SMEs should improve sustainable growth by applying access to finance.

Although the study found that interest rates and credit profile are not statistically significant predictors of access to finance in this model, these constructions remain central to lending best practices. SHWE Bank should capitalize on the high qualitative agreement from respondents regarding interest rate stability and good credit records by maintaining a competitive and transparent interest rate policy. Furthermore, the bank should invest in customer training regarding formal credit reporting systems. These low-cost initiatives will help SMEs build robust credit histories over time, ensuring that the Bank remains competitive and prepared for future shifts in regulatory and credit reporting environments.

The moderate analysis shows that the effect of access to finance on sustainable growth is not significantly moderated by the level of government policies. This suggests that the bank cannot rely on external government intervention to strengthen its lending outcomes. Consequently, SMEs should prioritize strengthening internal, bank-specific support and engagement strategies to build institutional resilience. SHWE Bank should implement robust internal programs, such as formalized business advisory services or SME mentorship networks, to fill the institutional gap. By taking internal ownership of the support ecosystem, the Bank ensures the stability of the finance-to-growth relationship, making SME development more resilient to external policy inconsistencies.

SME owners and managers bear the responsibility of professionalizing their internal operations by prioritizing financial transparency, professional auditing and rigorous cash flow management to strengthen their creditworthiness, while strategically reinvesting accessible finance into innovation and market expansion to maximize their long-term sustainability. The implementation of these multi-faceted strategies, operational, institutional and regulatory will collectively reinforce the critical relationship between access to finance and sustainable growth, positioning the SME sector for competitive success.

The overall strategic recommendations derived from this study necessitate coordinated action across all key stakeholders to foster a more robust financial ecosystem for SMEs and ensure sustainable growth. SHWE Bank, as the financial institution, should strategically pivot its lending criteria by shifting risk evaluation away from stringent collateral demands toward cash-flow-based lending models and simultaneously integrating a mandatory financial literacy and advisory program to improve client documentation and performance, leveraging the significant link between financial performance and access to finance. Government policies do not significantly strengthen the access-to-growth relationship, the bank should enhance institutional resilience by investing in internal mentorship and advisory services.

5.3 Needs for Further Research

This study has provided valuable, statistically grounded insights into the direct drivers of SME sustainable growth within SHWE Bank's client base, specifically highlighting the importance of collateral requirement and financial performance. Nevertheless, several avenues for future research are evident, particularly concerning the non-significant findings and the limited scope, which need to be addressed to develop a more holistic understanding of SME financing dynamics in Myanmar.

I recommend that future research specifically investigates the factors that were found to be non-significant in this model. Subsequent studies should employ qualitative research methods, such as in-depth interviews or case studies, to explore why interest rates and credit profile did not significantly influence access to finance. This approach could uncover contextual or relational variables that may currently override these established economic indicators in the loan decision-making process at the institutional level, providing nuanced insight into the bank's internal lending culture.

Furthermore, the finding that government policies did not significantly moderate the relationship between access to finance and sustainable growth presents a critical area for further investigation. Future research should test alternative moderating variables that may have a clearer conditional effect, such as the level of institutional quality (e.g., enforcement of property rights), the SME's level of digitalization, or macroeconomic stability. Isolating these effects will help policymakers understand which external levers are truly effective in strengthening the finance-to-growth pipeline.

Finally, to enhance the external validity and generalizability of the findings, the study should be expanded in scope and methodology. Future research ought to adopt a multi-bank or cross-regional approach within Myanmar to compare results across different financial institutions and diverse operating environments. Additionally, expanding the methodology to include a longitudinal study could track the long-term impact of improved access to finance on actual SME survival and expansion rates, offering deeper insights into the longevity of the observed effects.

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APPENDIX: A
QUESTIONARRIE

I am currently enrolled in the Master of Sustainable Entrepreneurship and Social Innovation (MSESI) program at Yangon University of Economics. As part of the requirements for the completion of my degree, I am conducting a research study entitled "Influencing Factors on Access to Finance and Sustainable Growth of Small and Medium Enterprises in SHWE Bank"

The objective of this study is to examine how key factors such as interest rates, credit profile, financial performance and collateral requirements influence access to finance for SMEs. Additionally, the study aims to analyze the moderating effect of government policies on the relationship between access to finance and sustainable growth of Small and Medium Enterprises in SHWE Bank.

In this research, I kindly request you to spare about five (5) minutes of your time to participate and provide your responses. Thank you very much.

Sincerely,
Sithu Aung
MSESI-II-03
Candidate of the Master of Sustainable Entrepreneurship & Social Innovation
Yangon University of Economics

APPENDIX: RESEARCH STUDY QUESTIONNAIRE FOR BUSINESS OWNERS/MANAGERS

Kindly tick the appropriate response. In case of open-ended questions, write in the space provided.

PART A: BACKGROUND INFORMATION (Please tick (√) where applicable)

1. Select your gender:

Female ☐ Male ☐ Other ☐

2. Marital Status

Single ☐ Married ☐ Other ☐

3. Select your appropriate Age bracket:

20 years and below ☐
21-30 years ☐
31- 40 years ☐
41 - 50 years ☐
51-60 years ☐
Above 60 years ☐

4. In which of the following categories does your business belong?

Manufacturing ☐
Labor-based Production ☐
Whole Sales Business ☐
Retail Business ☐
Food Production ☐
Service Business ☐
Other Business ☐
If another category specifies ……………………………………

5. For how long has the business been in existence?

Less than 2 years ☐

3-5 years ☐

6-8 years ☐

9-11 years ☐

Above 11 years ☐

6. What is your position in the business?

Owner ☐

Manager ☐

7. How many employees are there in the business?

10 and below ☐

11 – 20 ☐

21 – 30 ☐

31 – 40 ☐

41 – 50 ☐

Above 50 ☐

8. Please indicate your highest level of education

High School ☐

Bachelor ☐

Master ☐

Ph. D ☐

Other ☐

PART B: INTEREST RATES

8. Kindly tick appropriately whether you agree with the statements relating to the effect of interest rates on access to finance from financial institutions. Use the scale of 1-5: 1= strongly disagree, 2=Disagree, 3=Neutral, 4=Agree and 5=strongly agree.

Sr. No	Statements	5	4	3	2	1
1	SMEs are more likely to seek alternative financing when bank interest rates are high.					
2	Transparent interest rate policies improve SMEs' trust in financial institutions.					
3	Interest rates directly affect the affordability of long-term financing for SMEs.					
4	Interest rate stability is essential for sustainable SME financing.					
5	Our SME prefers fixed interest rate loans to avoid uncertainty.					

PART C: CREDIT PROFILE

9. Please tick appropriately whether you agree with the statements relating to the effect of credit profile on access to finance from financial institutions. Use the scale of 1-5: 1= strongly disagree, 2=Disagree, 3=Neutral, 4=Agree and 5=strongly agree.

Sr. No	Statements	5	4	3	2	1
1	Credit history is a key determinant in the decision-making process for loan disbursement.					
2	Existing customers with good credit records receive better credit terms than new applicants.					
3	Formal credit ratings encourage SME access to long-term financing.					
4	SMEs with consistent repayment records are more likely to receive favorable loan terms.					
5	SMEs with good credit histories face significant benefits in accessing formal finance.					

PART D: FINANCIAL PERFORMANCE

10. Kindly tick appropriately whether you agree with the statements relating to the effect of performance on access to finance from financial institutions. Use the scale of 1 -5: 1 =very small extent, 2 =small extent, 3 to moderate extent, 4 =large extent and 5 = very large extent to rate the following statements.

Sr. No	Statements	5	4	3	2	1
1	Financial institutions assess SME profitability before approving credit.					
2	SMEs that regularly audit their financial statements have better access to finance.					
3	Financial institutions prefer SMEs with detailed cash flow records.					
4	Accurate financial documentation enhances SME loan approval rates.					
5	Financial performance is a key determinant in SME sustainability and growth.					

PART E: COLLATERAL REQUIREMENT

11. Please tick the implications of collateral restrictions on access to finance from financial institutions. Use the scale of 1-5: 1=stronglydisagree,2=Disagree, 3=Neutral, 4=Agree and 5=strongly agree.

Sr. No	Statements	5	4	3	2	1
1	Financial institutions require collateral to reduce lending risk for SMEs.					
2	Collateral substitutes (credit guarantees) improve SME access to finance.					
3	Reducing collateral requirements can promote inclusive financing for SMEs.					
4	The limited ability of SMEs to provide tangible assets as security hinders their access to credit facilities.					
5	Banks require collateral before issuing a loan.					

PART F: ACCESS TO FINANCE

13. Please indicate the level of agreement or disagreement on the following statements by ticking (√) concerning the access to finance on sustainable growth of SME Projects. Use the scale of 1-5: 1= strongly disagree, 2=Disagree, 3=Neutral, 4=Agree and 5=strongly agree.

Sr. No	Statements	5	4	3	2	1
1	SMEs is accessing formal financial services.					
2	Multistakeholder collaboration enhances the effectiveness of SME financing programs.					
3	Access to finance is a key determinant of SME survival and growth.					
4	Improving SME access to finance contributes directly to national economic resilience.					
5	Quick access to financial resources led to growth of the business.					
6	Commercial banks loans and other facilities has increased the sustainability of the business.					
7	Emergency financial support during crises helps SMEs maintain access to finance.					

PART G: GOVERNMENT POLICIES

14. Please indicate the level of agreement or disagreement on the following statements by ticking (√) concerning the access to finance on sustainable growth of SME Projects. Use the scale of 1-5: 1= strongly disagree, 2=Disagree, 3=Neutral, 4=Agree and 5=strongly agree.

Sr. No	Statements	5	4	3	2	1
1	Government policies that promote entrepreneurship contribute to SME sustainability.					
2	Tax incentives provided by the government encourage SME reinvestment and growth.					
3	Regulatory simplification by the government supports SME expansion.					
4	Government partnerships with private sectors accelerate SME innovation and sustainability.					
5	Government-sponsored training programs improve SME competitiveness.					
6	Government monitoring and evaluation systems enhance the impact of SME development policies.					
7	Policy coherence across ministries improves the effectiveness of SME support programs.					

PART H: SUSTAINABLE GROWTH

15. Please indicate to what extent you measure your business in terms of sustainable growth. Use the scale of 1-5: 1= strongly disagree, 2=Disagree, 3=Neutral, 4=Agree and 5=strongly agree.

Sr. No	Statements	5	4	3	2	1
1	We can provide sufficient collateral when applying for loans.					
2	Financial access allows us to expand into new markets and increase competitiveness.					

3	Access to finance supports innovation and product development in our SME.					
4	We manage our financial performance effectively to meet lender expectations.					
5	The combination of financial access and supportive government policies strengthens our SME's resilience.					
6	Our SME maintains a strong credit profile that improves our chances of securing finance.					
7	Our financing contributes to our long-term sustainability.					

Thank you very much for your participation in this research. I would like to respectfully assure you that all the information you provide will be used solely for research purposes and will be kept strictly confidential.

APPENDIX: B

OUTPUT DATA RESULT

4.2 Multiple Regression Analysis of Influencing Factors on Access to Finance

Model Summary[b]

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate	Durbin-Watson
1	.673[a]	.453	.424	.42125	1.880

a. Predictors: (Constant), CR, IR, FP, CP

b. Dependent Variable: AF

ANOVA[a]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	11.172	4	2.793	15.739	.000[b]
	Residual	13.486	76	.177		
	Total	24.658	80			

a. Dependent Variable: AF

b. Predictors: (Constant), CR, IR, FP, CP

Coefficients[a]

Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.	Collinearity Statistics	
		B	Std. Error	Beta			Tolerance	VIF
1	(Constant)	1.023	.388		2.634	.010		
	IR	.042	.102	.045	.411	.682	.590	1.696
	CP	.077	.145	.076	.531	.597	.348	2.876
	FP	.242	.129	.254	1.878	.064	.395	2.532
	CR	.372	.115	.390	3.247	.002	.500	2.002

a. Dependent Variable: AF

4.3 Simple Regression Analysis of Access to Finance on Sustainable Growth

Model Summary[b]

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate	Durbin-Watson
1	.778[a]	.605	.600	.33437	1.995

a. Predictors: (Constant), AF

b. Dependent Variable: SG

ANOVA[a]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	13.556	1	13.556	121.250	.000[b]
	Residual	8.833	79	.112		
	Total	22.389	80			

a. Dependent Variable: SG

b. Predictors: (Constant), AF

Coefficients[a]

Model		Unstandardized Coefficients		Standardized Coefficients			Collinearity Statistics	
		B	Std. Error	Beta	t	Sig.	Tolerance	VIF
1	(Constant)	1.052	.267		3.941	.000		
	AF	.741	.067	.778	11.011	.000	1.000	1.000

a. Dependent Variable: SG

4.4 Moderation Effect

Model Summary[c]

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate	Durbin-Watson
1	.814[a]	.662	.654	.31126	
2	.817[b]	.668	.655	.31086	2.107

a. Predictors: (Constant), GP, AF

b. Predictors: (Constant), GP, AF, AFxGP

c. Dependent Variable: SG

ANOVA[a]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	14.832	2	7.416	76.548	.000[b]
	Residual	7.557	78	.097		
	Total	22.389	80			
2	Regression	14.948	3	4.983	51.563	.000[c]
	Residual	7.441	77	.097		
	Total	22.389	80			

a. Dependent Variable: SG

b. Predictors: (Constant), GP, AF

c. Predictors: (Constant), GP, AF, AFxGP

Coefficients[a]

Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.
		B	Std. Error	Beta		
1	(Constant)	.895	.252		3.545	.001
	AF	.552	.082	.580	6.773	.000
	GP	.236	.065	.311	3.629	.001
2	(Constant)	2.231	1.245		1.792	.077
	AF	.212	.321	.223	.662	.510
	GP	-.128	.338	-.168	-.378	.706
	AFxGP	.091	.083	.762	1.096	.277

a. Dependent Variable: SG